Equity Research

Price Target Change — May 29, 2026

Aerospace & Defense
Government Services
Space

Weekly Wingman—HONA Investor Day

Our Call

Next week highlighted by HONA Investor Day on Wednesday (see our preview HONA Investor Day Preview).

Up Next: SAIC reports Monday. WF Industrials Conference in Chicago June 9-11, where we will host 20+ A&D companies.

Global flight schedules cut further. May schedules now indicate -1% global flight hours (vs. +1-2% a few weeks ago), while June flat (vs. +3%). Middle East (~4% of total global flights) seen 28% lower YoY in May and 15% lower in June.

Aero: We think aero outperforms on strong relative EPS growth that more than offsets potential valuation downside. Within aero aftermarket, we are selective, favoring RR/WWD. Within aero OE, we are favorable on BA on its FCF potential, ATI on pricing/margin upside, and HXL on widebody leverage.

Defense: Defense has upside to growth expectations on large outlays gap relative to budget, while valuation at ~10% discount is increasingly attractive. Large caps face heightened competition along with increased CAPX demands that could negatively affect FCF and shareholder returns. NOC has invested ahead of need relative to peers and, we think, outgrows. GD has upside on shipbuilding and refreshed bizjet product lineup.

We raise our PT on ARXS to $52 from $42 to reflect 25x on 2028 EBITDA in line with where peer group trades at current.

We raise our PT on HEI to $350 from $290 to reflect 3.5% FCF yield on our updated 2028 estimate.

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All estimates/forecasts are as of 5/29/2026 unless otherwise stated. 5/29/2026 18:34:16EDT. Please see page 32 for rating definitions, important disclosures and required analyst certifications. Wells Fargo Securities, LLC does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of the report and investors should consider this report as only a single factor in making their investment decision.

Financials

Company Name (Ticker)	Rating	Price 05/29/26	FY EPS 2027E Curr.	FY EPS 2027E Prior	FY EPS 2028E Curr.	FY EPS 2028E Prior	FY P/E 2026	FY P/E 2027	Price Target To	Price Target From	Upside PT	Downside PT
Aerospace & Defense												
Airbus SE (AIR-FR)	EW	€179.70	€9.15	NC	€10.70	NC	19.6x	16.8x	€175.00	NC	€200.00	€155.00
Arxis, Inc. (ARXS)	OW	$44.93	$0.87	$0.79	$1.05	$0.95	51.4x	42.9x	$52.00	$42.00	$60.00	$43.00
ATI Inc. (ATI)	OW	$175.16	$5.55	NC	$6.55	NC	31.5x	26.7x	$175.00	NC	$200.00	$130.00
BWX Technologies, Inc. (BWXT)	UW	$195.88	$5.30	NC	$5.90	NC	36.9x	33.2x	$200.00	NC	$230.00	$170.00
Carpenter Technology Corporation (CRS)	EW	$468.98	$13.20	NC	$16.05	NC	35.5x	29.2x	$425.00	NC	$480.00	$365.00
GE Aerospace (GE)	OW	$323.76	$9.15	NC	$10.50	NC	35.4x	30.8x	$325.00	NC	$375.00	$270.00
General Dynamics Corporation (GD)	OW	$346.82	$18.00	NC	$19.10	NC	19.3x	18.2x	$400.00	NC	$460.00	$330.00
HEICO Corporation (HEI)	EW	$348.18	$7.45	$6.45	$8.50	$7.30	46.7x	40.9x	$350.00	$290.00	$400.00	$300.00
Hexcel Corporation (HXL)	OW	$89.79	$3.00	NC	$3.60	NC	29.9x	25.0x	$95.00	NC	$110.00	$75.00
Howmet Aerospace Inc. (HWM)	EW	$258.25	$6.55	NC	$8.60	NC	39.4x	30.0x	$280.00	NC	$310.00	$245.00
Huntington Ingalls Industries, Inc. (HII)	EW	$308.17	$20.50	NC	$23.10	NC	15.0x	13.3x	$400.00	NC	$460.00	$365.00
Lockheed Martin Corporation (LMT)	EW	$530.45	$32.50	NC	$34.75	NC	16.3x	15.3x	$650.00	NC	$750.00	$560.00
Northrop Grumman Corporation (NOC)	OW	$563.68	$29.50	NC	$32.15	NC	19.1x	17.5x	$800.00	NC	$920.00	$660.00
Rolls-Royce Holdings plc (RR-GB)	OW	£13.37	£0.52	NC	£0.62	NC	25.5x	21.7x	£13.50	NC	£15.50	£11.00
RTX Corporation (RTX)	EW	$179.66	$7.80	NC	$8.85	NC	23.0x	20.3x	$200.00	NC	$230.00	$170.00
Safran SA (SAF-FR)	OW	€305.70	€13.25	NC	€15.00	NC	23.1x	20.4x	€325.00	NC	€375.00	€270.00
StandardAero Inc. (SARO)	OW	$28.64	$1.75	NC	$2.00	NC	16.4x	14.3x	$32.00	NC	$37.00	$22.00
Textron Inc. (TXT)	EW	$91.76	$7.25	NC	$8.10	NC	12.7x	11.3x	$92.00	NC	$105.00	$75.00
The Boeing Company (BA)	OW	$231.15	$6.49	NC	$10.33	NC	35.6x	22.4x	$250.00	NC	$285.00	$185.00
TransDigm Group Incorporated (TDG)	EW	$1,258.32	$49.15	NC	$58.15	NC	25.6x	21.6x	$1,200.00	NC	$1,350.00	$1,050.00
Woodward, Inc. (WWD)	OW	$350.03	$11.40	NC	$13.45	NC	30.7x	26.0x	$440.00	NC	$510.00	$335.00
Government Services												
Booz Allen Hamilton Holding Corporation (BAH)	EW	$79.18	$6.30	NC	$6.75	NC	12.6x	11.7x	$85.00	NC	$100.00	$72.00
CACI International Inc (CACI)	OW	$513.51	$31.00	NC	$34.00	NC	16.6x	15.1x	$725.00	NC	$835.00	$550.00
Leidos Holdings, Inc. (LDOS)	EW	$127.80	$12.95	NC	$13.55	NC	9.9x	9.4x	$165.00	NC	$190.00	$140.00
Space												
Rocket Lab Corporation (RKLB)*	EW	$143.48	$1.20B	NC	$1.48B	NC			$60.00	NC	$75.00	$55.00
Voyager Technologies Inc. (VOYG)	UW	$49.53	$(1.36)	NC	$(1.02)	NC	NM	NM	$21.00	NC	$25.00	$15.00
York Space Systems Inc. (YSS)*	OW	$32.64	$842.3	NC	$	NC	4.3x		$35.00	NC	$48.00	$22.00

** For RKLB estimates represent Rev. (MM), valuation multiple not available*
** For YSS estimates represent Rev. (MM), valuation multiple EV/Revenue*
TDG EPS:
Source: Company data and Wells Fargo Securities, LLC estimates, and Factset.
OW = Overweight, EW = Equal Weight, UW = Underweight, NR = Not Rated
NA = Not Available, NC = No Change, NE = No Estimate, NM = Not Meaningful

Exhibit 1 - Company Rating and Price Target - Aerospace

Ticker	Rating	Market Cap ($B)	Current Price	Price Target	Upside Downside
WWD	OW	21.1	$355	$440	24%
SARO	OW	9.4	$28	$32	13%
RTX	EW	241.0	$179	$200	12%
ARXS	OW	19.2	$47	$52	11%
BA	OW	180.3	$229	$250	9%
HWM	EW	104.0	$260	$280	8%
SAF	OW	126.8	€ 303	€ 325	7%
HXL	OW	6.9	$91	$95	4%
RR.L	OW	110.0	£13.1	£13.5	3%
ATI	OW	23.3	$171	$175	3%
HEI	EW	40.8	$345	$350	1%
GE	OW	334.7	$321	$325	1%
TXT	EW	16.0	$92	$92	0%
AIR.PA	EW	140.8	€ 178	€ 175	-2%
TDG	EW	70.8	$1,265	$1,200	-5%
CRS	EW	23.0	$462	$425	-8%

Source: Bloomberg and Wells Fargo Securities, LLC estimates

Priced as of 5/28/26

Exhibit 2 - Company Rating and Price Target - Defense

Ticker	Rating	Market Cap ($B)	Current Price	Price Target	Upside Downside
NOC	OW	79.4	$559	$800	43%
HII	EW	12.6	$321	$400	25%
LMT	EW	123.9	$537	$650	21%
GD	OW	94.4	$349	$400	15%
BWXT	UW	18.3	$199	$200	0%

Source: Bloomberg and Wells Fargo Securities, LLC estimates

Priced as of 5/28/26

Exhibit 3 - Company Rating and Price Target - Government Services

Ticker	Rating	Market Cap ($B)	Current Price	Price Target	Upside Downside
CACI	OW	11.6	$523	$725	39%
LDOS	EW	16.6	$132	$165	25%
BAH	EW	9.7	$81	$85	5%

Source: Bloomberg and Wells Fargo Securities, LLC estimates

Priced as of 5/28/26

Exhibit 4 - Company Rating and Price Target - Space

Ticker	Rating	Market Cap ($B)	Current Price	Price Target	Upside Downside
YSS	OW	4.1	$32	$35	9%
VOYG	UW	3.1	$52	$21	-59%
RKLB	EW	92.5	$148	$60	-59%

Source: Bloomberg and Wells Fargo Securities, LLC estimates

Priced as of 5/28/26

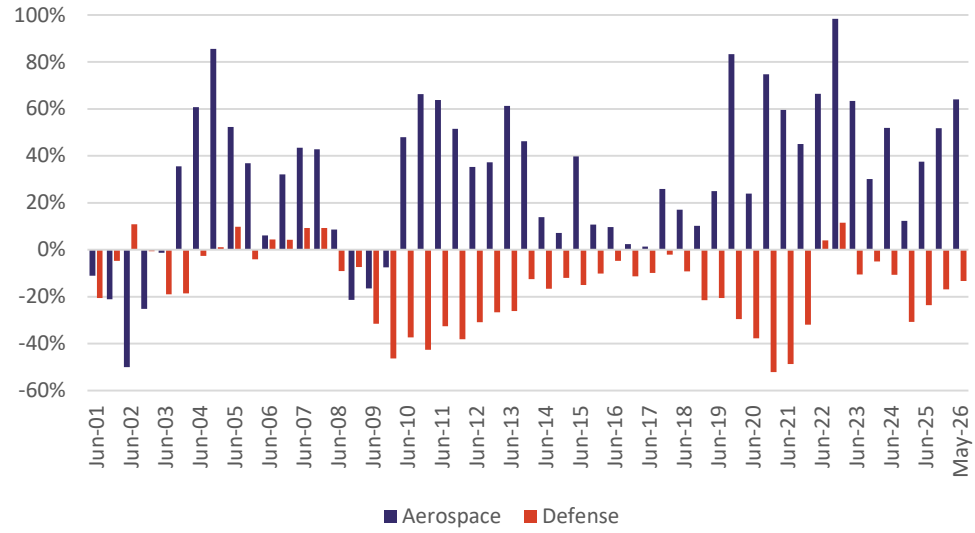
Exhibit 5 - Coverage Comp Table

Company	Ticker	Rating	Price Target	Share Price	Market Cap ($B)	Net Debt ($B)	EV ($B)	Net Debt to EBITDA	P/E		EV/EBITDA		FCF Yield		Dividend Yield
									FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	
Aero															
Arxis Group	ARXS	OW	$52	$47	19.2	2.4	21.6	3.3x	n/a	53.5x	29.5x	26.3x	2.2%	2.6%	0.0%
ATI Inc	ATI	OW	$175	$171	23.3	1.4	24.8	1.4x	37.5x	30.7x	23.6x	20.5x	2.3%	2.7%	0.0%
Boeing Co	BA	OW	$250	$229	180.3	26.3	212.4	4.9x	n/a	35.3x	39.8x	18.6x	1.4%	3.5%	0.0%
Carpenter Technology	CRS	EW	$425	$462	23.0	0.4	23.4	0.5x	43.2x	35.0x	27.4x	22.8x	1.6%	1.9%	0.2%
General Electric Co	GE	OW	$325	$321	334.7	9.3	382.5	0.8x	41.9x	35.1x	33.8x	29.3x	2.5%	3.0%	0.5%
HEICO Corp	HEI	EW	$350	$345	40.8	2.4	43.7	1.6x	54.0x	46.3x	28.6x	25.1x	2.5%	3.1%	0.1%
Howmet Aerospace	HWM	EW	$280	$260	104.0	2.3	106.4	0.7x	49.5x	39.7x	33.1x	27.5x	1.9%	2.3%	0.2%
Hexcel Corp	HXL	OW	$95	$91	6.9	0.9	7.8	2.4x	39.6x	30.4x	20.0x	17.2x	3.1%	4.2%	0.8%
RTX Corp	RTX	EW	$200	$179	241.0	30.6	274.9	2.0x	25.6x	22.9x	18.3x	16.7x	3.6%	4.3%	1.5%
StandardAero Inc	SARO	OW	$32	$28	9.4	2.1	10.4	2.4x	19.5x	16.2x	11.7x	10.2x	3.2%	5.2%	0.0%
TransDigm Group	TDG	EW	$1,200	$1,265	70.8	28.1	98.9	5.1x	31.2x	25.7x	18.0x	15.9x	3.3%	3.9%	7.1%
Textron	TXT	EW	$92	$92	16.0	2.0	19.4	1.1x	13.9x	12.7x	11.4x	10.7x	5.0%	5.0%	0.1%
Woodward	WWD	OW	$440	$355	21.1	0.6	21.8	0.7x	37.0x	31.1x	23.7x	20.4x	1.7%	2.7%	0.3%
Average								**2.1x**	**35.7x**	**31.9x**	**24.5x**	**20.1x**	**2.6%**	**3.4%**	**0.8%**
Defense															
BWX Technologies	BWXT	UW	$200	$199	18.3	2.0	19.8	3.1x	41.5x	37.6x	30.0x	27.2x	1.8%	2.3%	0.5%
General Dynamics Corp	GD	OW	$400	$349	94.4	4.4	98.7	0.6x	20.8x	19.4x	14.5x	13.7x	5.1%	5.0%	1.8%
HII Inc	HII	EW	$400	$321	12.6	2.5	15.4	2.3x	18.1x	15.7x	14.4x	12.8x	4.4%	4.8%	1.8%
Lockheed Martin Corp	LMT	EW	$650	$537	123.9	18.8	142.7	1.7x	17.9x	16.5x	12.6x	11.8x	5.3%	5.7%	2.5%
Northrop Grumman	NOC	OW	$800	$559	79.4	13.1	94.4	2.1x	20.0x	19.0x	15.1x	14.3x	4.2%	4.6%	1.6%
Average								**2.0x**	**23.7x**	**21.6x**	**17.3x**	**16.0x**	**4.2%**	**4.5%**	**1.9%**
Europe A&D															
Airbus Group NV	AIR.PA	EW	€ 175	€ 178	140.8	(10.7)	127.5	-1.0x	22.9x	19.4x	11.8x	10.0x	3.4%	4.1%	1.8%
Rolls-Royce PLC	RR.L	OW	£13.50	£13	110.0	(2.0)	108.0	-0.4x	30.9x	25.1x	20.3x	17.2x	3.7%	4.5%	0.7%
Safran SA	SAF	OW	€ 325	€ 303	126.8	(1.7)	125.7	-0.2x	29.6x	22.9x	15.2x	13.5x	3.7%	4.6%	1.1%
Average								**-0.5x**	**27.8x**	**22.4x**	**15.7x**	**13.6x**	**3.6%**	**4.4%**	**1.2%**
Government Services															
Booz Allen Hamilton	BAH	EW	$85	$81	9.7	3.1	13.1	2.5x	12.4x	12.9x	10.7x	10.6x	9.8%	8.9%	2.8%
CACI International Inc	CACI	OW	$725	$523	11.6	5.0	17.0	4.4x	18.3x	16.9x	14.8x	13.1x	6.1%	7.4%	0.0%
Leidos Inc	LDOS	EW	$165	$132	16.6	5.9	23.1	2.4x	10.7x	10.2x	9.3x	8.9x	10.0%	9.8%	1.3%
Average								**3.1x**	**13.8x**	**13.3x**	**11.6x**	**10.9x**	**8.6%**	**8.7%**	**1.4%**
Space															
Rocket Lab Corp	RKLB	EW	$60	$148	92.5	(0.7)	91.2	6.0x	n/a	n/a	n/a	n/a	-0.5%	-0.4%	0.0%
Voyager Technologies Inc	VOYG	UW	$21	$52	3.1	0.5	3.2	-3.3x	n/a	n/a	n/a	n/a	-7.8%	-4.9%	0.0%
York Space Systems	YSS	OW	$35	$32	4.1	(0.6)	3.6	-17.2x	n/a	71.4x	103.2x	27.0x	0.2%	2.3%	0.0%
Average								**-4.9x**	**n/a**	**71.4x**	**103.2x**	**27.0x**	**-2.7%**	**-1.0%**	**0.0%**

Source: Bloomberg and Wells Fargo Securities, LLC estimates

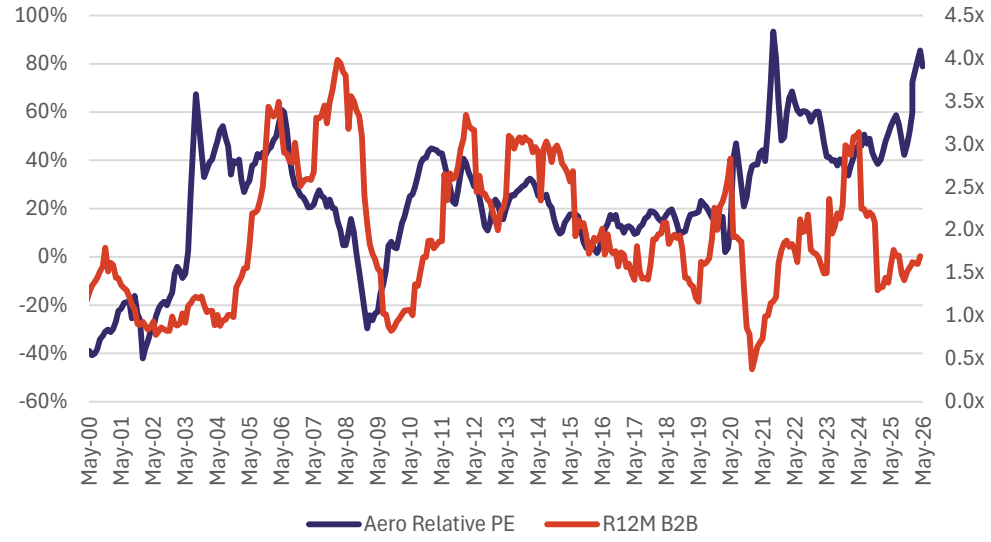
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Exhibit 6 - Aerospace & Defense Relative Valuation (T12M P/E)



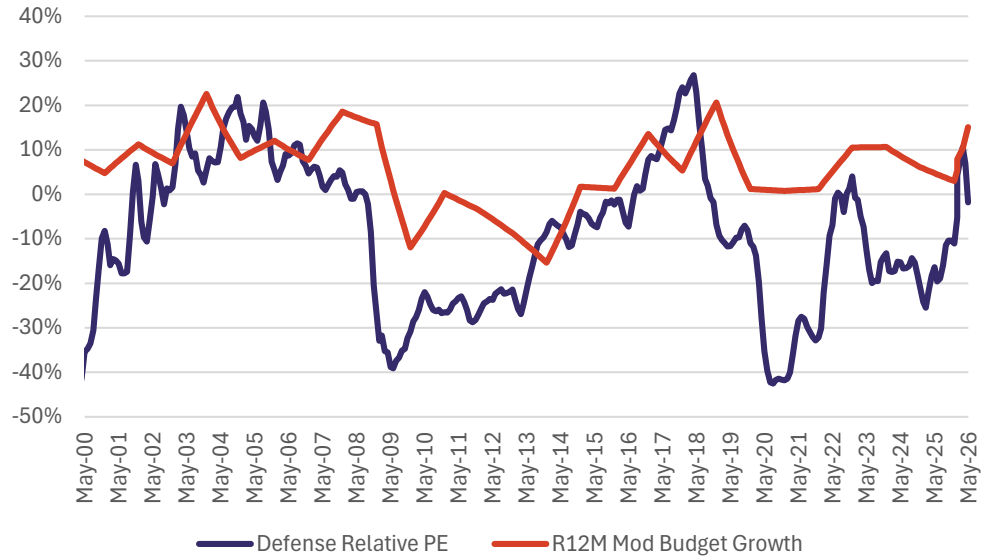
Source: Bloomberg

Exhibit 7 - Aero Relative P/E Multiple vs Book to Bill



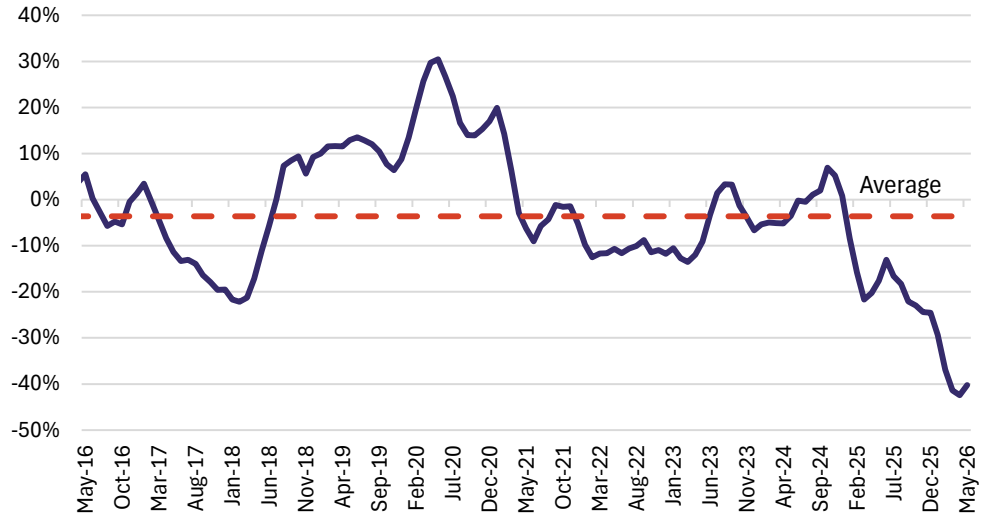
Source: Bloomberg, Company Reports, and Wells Fargo Securities, LLC

Exhibit 8 - Defense Relative P/E Multiple vs Modernization Budget Growth



Source: Bloomberg, DoD, and Wells Fargo Securities, LLC

Exhibit 9 - Government Services Relative P/E Multiple vs Defense



Source: Bloomberg

Government services includes BAH/CACI/LDOS/SAIC, defense includes GD/HII/LHX/LMT/NOC.

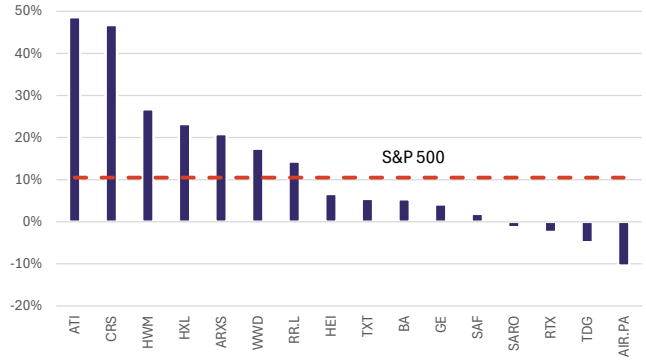
Exhibit 10 - Absolute and Relative Performance

		Absolute Performance				Relative Performance			
Company	Ticker	5D	1M	3M	YTD	5D	1M	3M	YTD
Aerospace OEMs									
Boeing Co	BA	4%	-1%	1%	5%	3%	-7%	-9%	-5%
Bombardier Inc	BBD	1%	26%	6%	28%	-1%	21%	-4%	17%
Embraer SA	ERJ	1%	-8%	-19%	-9%	0%	-13%	-29%	-20%
Textron Inc	TXT	0%	4%	-7%	5%	-1%	-2%	-17%	-5%
Weighted Average		4%	2%	0%	7%	2%	-4%	-10%	-4%
Aerospace Suppliers									
Arxis Group	ARXS	35%	34%	n/a	21%	33%	28%	n/a	10%
ATI Inc	ATI	5%	12%	4%	49%	4%	6%	-6%	38%
Carpenter Technology Corp	CRS	6%	8%	16%	47%	5%	2%	6%	36%
General Electric	GE	6%	11%	-6%	4%	5%	5%	-16%	-6%
HEICO Corp	HEI	15%	31%	8%	7%	13%	25%	-2%	-4%
Hexcel Corp	HXL	6%	-2%	-2%	23%	4%	-8%	-12%	13%
Honeywell International Inc	HON	2%	9%	-4%	19%	1%	3%	-14%	9%
Howmet Aerospace Inc.	HWM	1%	8%	-1%	27%	0%	2%	-11%	16%
Raytheon Technologies Corporation	RTX	1%	2%	-12%	-2%	0%	-4%	-22%	-13%
StandardAero, Inc.	SARO	6%	15%	-8%	-1%	5%	9%	-18%	-12%
TransDigm Group Inc	TDG	4%	10%	-3%	-5%	3%	4%	-13%	-15%
Woodward Inc	WWD	1%	-2%	-8%	17%	0%	-8%	-18%	7%
Weighted Average		4%	9%	-5%	9%	3%	3%	-15%	-2%
Defense									
BWXT Technologies Inc	BWXT	-2%	-8%	-3%	15%	-3%	-14%	-13%	5%
Curtiss-Wright Corp	CW	2%	6%	7%	36%	1%	0%	-3%	25%
Leonardo DRS Inc	DRS	8%	20%	12%	42%	7%	15%	2%	32%
General Dynamics Corp	GD	2%	11%	-2%	4%	1%	5%	-12%	-7%
Karman Holdings	KRMN	3%	-6%	-25%	-10%	2%	-12%	-35%	-20%
L3Harris Technologies Inc	LHX	1%	-3%	-14%	7%	0%	-9%	-24%	-3%
HII Inc	HII	0%	-11%	-28%	-6%	-1%	-17%	-38%	-16%
Lockheed Martin Corp	LMT	1%	5%	-18%	11%	0%	-1%	-28%	1%
Mercury Systems Inc	MRCY	10%	41%	21%	48%	8%	35%	11%	38%
Northrop Grumman Corp	NOC	1%	-3%	-23%	-2%	-1%	-9%	-33%	-12%
Weighted Average		1%	4%	-12%	9%	0%	-2%	-22%	-2%
Europe A&D									
Airbus Group NV	AIR.PA	5%	7%	-4%	-10%	4%	3%	-2%	-15%
BAE Systems	BAES.L	1%	-1%	-4%	18%	2%	-2%	0%	13%
Melrose Industries PLC	MRON.L	-7%	-3%	-16%	-19%	-6%	-3%	-11%	-24%
MTU Aero Engines AG	MTX	7%	10%	-14%	-12%	6%	5%	-13%	-14%
Rheinmetall	RHM	6%	-4%	-22%	-17%	5%	-8%	-22%	-20%
Rolls-Royce PLC	RR.L	5%	16%	-1%	14%	6%	15%	3%	9%
Safran SA	SAF	6%	12%	-11%	2%	6%	8%	-10%	-3%
Weighted Average		5%	8%	-7%	1%	5%	5%	-5%	-4%
Space									
Firefly Aerospace, Inc.	FLY	0%	44%	156%	121%	-1%	38%	146%	110%
MDA Ltd.	MDA	13%	63%	70%	152%	12%	57%	60%	141%
Rocket Lab Corp	RKLB	9%	88%	114%	112%	8%	82%	104%	102%
Intuitive Machines	LUNR	19%	86%	177%	182%	18%	80%	167%	171%
Voyager Technologies Inc.	VOYG	16%	94%	94%	98%	15%	89%	84%	88%
York Space Systems	YSS	10%	0%	25%	-5%	9%	-6%	15%	-15%
Weighted Average		10%	84%	119%	120%	8%	78%	109%	110%
Government & Engineering Services									
Booz Allen Hamilton	BAH	3%	6%	3%	-4%	2%	0%	-7%	-14%
CACI International Inc	CACI	4%	3%	-14%	-2%	3%	-3%	-24%	-12%
Leidos Holdings Inc	LDOS	4%	-10%	-25%	-27%	3%	-16%	-35%	-38%
Parsons Corp.	PSN	10%	13%	-11%	-5%	8%	8%	-21%	-15%
Science Applications Int.	SAIC	4%	9%	12%	3%	2%	3%	2%	-7%
Weighted Average		5%	1%	-12%	-11%	3%	-5%	-22%	-21%

Source: Bloomberg

2026 YTD through 5/28/26

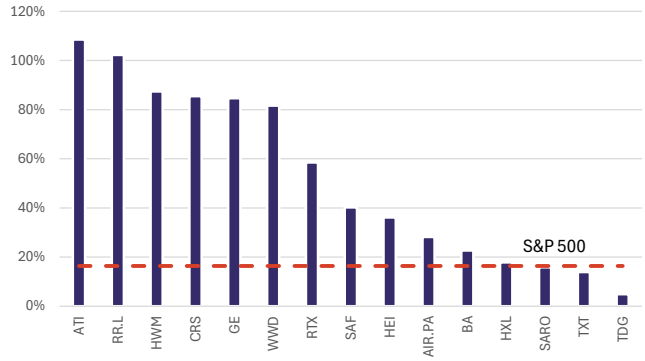
Exhibit 11 - YTD Absolute Performance - Aerospace



Source: Bloomberg

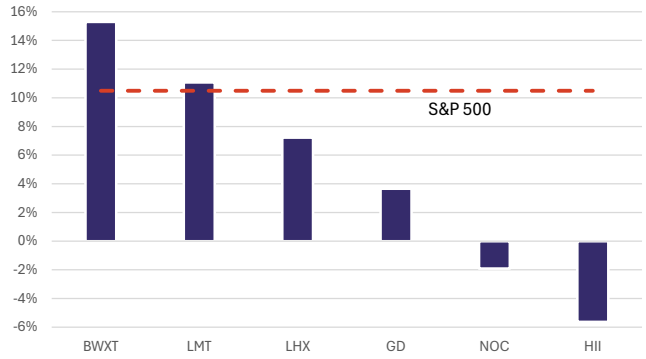
2026 YTD through 5/28/26

Exhibit 12 - 2025 Absolute Performance - Aerospace



Source: Bloomberg

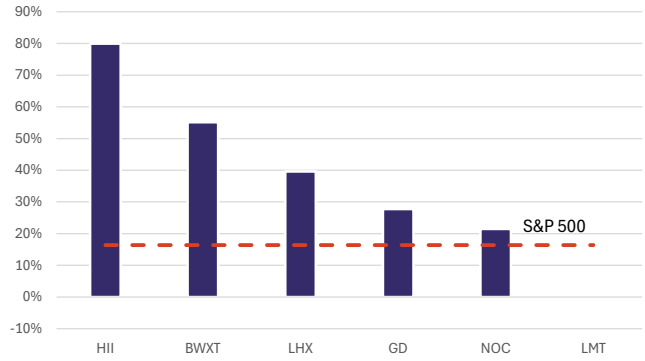
Exhibit 13 - YTD Absolute Performance - Defense



Source: Bloomberg

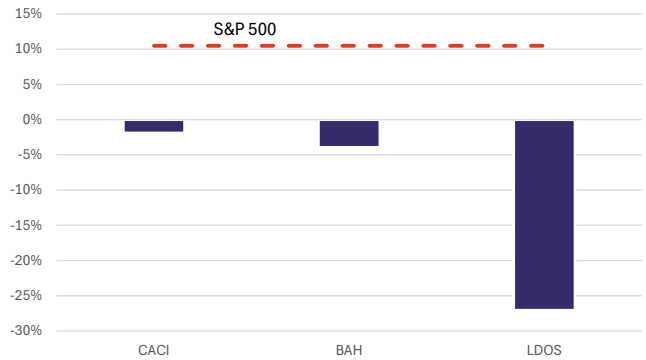
2026 YTD through 5/28/26

Exhibit 14 - 2025 Absolute Performance - Defense



Source: Bloomberg

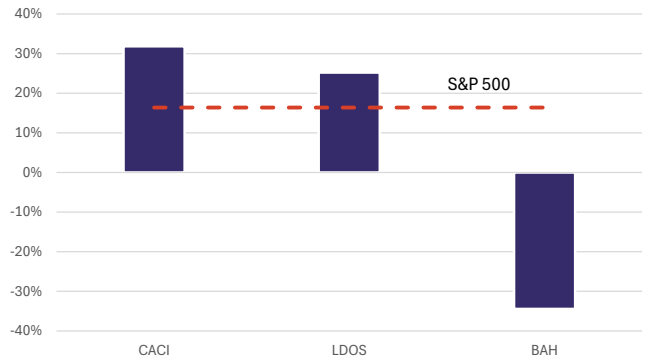
Exhibit 15 - YTD Absolute Performance - Government Services



Source: Bloomberg

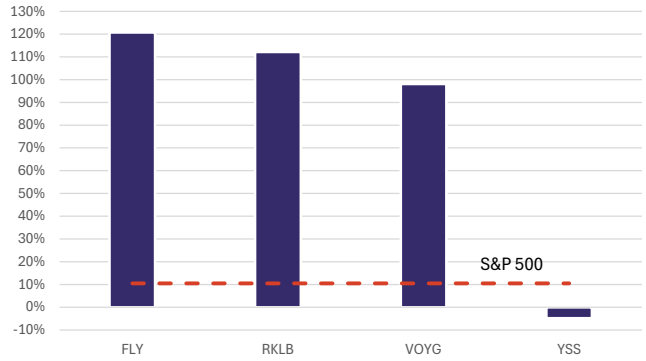
2026 YTD through 5/28/26

Exhibit 16 - 2025 Absolute Performance - Government Services



Source: Bloomberg

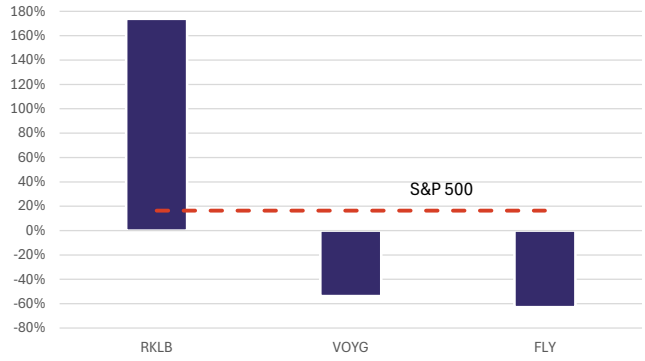
Exhibit 17 - YTD Absolute Performance - Space



Source: Bloomberg

2026 YTD through 5/28/26

Exhibit 18 - 2025 Absolute Performance - Space



Source: Bloomberg

Exhibit 19 - Total Return Heat Map

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
AIR.PA	53%	4%	35%	3%	58%	-31%	25%	0%	28%	13%	31%	-9%
ARXS	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	21%
ATI	-67%	44%	52%	-10%	-5%	-19%	-5%	87%	52%	21%	109%	49%
BA	14%	11%	95%	12%	3%	-34%	-6%	-5%	37%	-32%	23%	5%
BAH	19%	19%	8%	20%	60%	24%	-1%	26%	24%	2%	-33%	-3%
BWXT	48%	26%	54%	-36%	64%	-2%	-19%	23%	34%	47%	56%	16%
CACI	8%	34%	6%	9%	74%	0%	8%	12%	8%	25%	32%	-2%
CRS	-37%	22%	43%	-29%	42%	-39%	3%	30%	95%	142%	86%	47%
FLY	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	121%
GD	2%	28%	20%	-21%	15%	-13%	44%	22%	7%	4%	30%	5%
GE	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	65%	86%	4%
HEI	-10%	42%	53%	29%	48%	16%	9%	7%	17%	33%	36%	7%
HII	14%	47%	29%	-18%	34%	-30%	12%	26%	15%	-26%	84%	-5%
HWM	n/a	n/a	n/a	n/a	n/a	9%	12%	24%	38%	103%	88%	27%
HXL	13%	12%	21%	-6%	29%	-34%	7%	14%	26%	-14%	19%	24%
LDOS	34%	27%	29%	-17%	89%	9%	-14%	20%	5%	35%	27%	-27%
LHX	n/a	n/a	n/a	n/a	49%	-3%	15%	0%	4%	2%	42%	8%
LMT	16%	18%	32%	-16%	53%	-6%	3%	40%	-4%	10%	2%	12%
NOC	30%	25%	34%	-19%	43%	-10%	29%	43%	-13%	2%	24%	-2%
RKLB	n/a	n/a	n/a	n/a	n/a	n/a	21%	-69%	47%	361%	174%	112%
RR	-32%	18%	29%	-1%	-17%	-53%	10%	-24%	222%	90%	105%	15%
RTX	n/a	n/a	n/a	n/a	n/a	-51%	23%	20%	-14%	41%	61%	-2%
SAF.PA	26%	10%	27%	25%	33%	-16%	-7%	9%	38%	34%	42%	3%
SARO	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	16%	-1%
TDG	16%	19%	20%	24%	84%	11%	3%	2%	67%	32%	12%	-5%
TXT	0%	16%	17%	-19%	-3%	9%	60%	-8%	14%	-5%	14%	5%
VOYG	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	98%
WWD	2%	40%	12%	-2%	60%	3%	-9%	-11%	42%	23%	83%	18%
YSS	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	-5%

Source: Bloomberg

2026 YTD through 5/28/26

Exhibit 20 - Consensus 2026 EPS Estimate Revisions Over Time

							% Increase/(Decrease) in Current Estimate Since				
	-2 Yr	-1 Yr	-3 Mo	-1 Mo	-1 Wk	5/28	-2 Yr	-1 Yr	-3 Mo	-1 Mo	-1 Wk
Aero											
ARXS	n/a	n/a	n/a	n/a	$0.46	$0.46	n/a	n/a	n/a	n/a	0%
ATI	$3.75	$3.71	$4.13	$4.20	$4.42	$4.42	18%	19%	7%	5%	0%
BA	$8.78	$3.51	$0.09	-$0.29	-$0.35	-$0.35	-104%	-110%	-499%	21%	0%
CRS	$6.77	$8.90	$10.22	$10.27	$10.47	$10.49	55%	18%	3%	2%	0%
GE	$6.01	$6.48	$7.40	$7.54	$7.54	$7.54	26%	16%	2%	0%	0%
HEI	$4.78	$5.07	$5.57	$5.64	$5.65	$5.71	19%	13%	2%	1%	1%
HWM	$3.43	$4.13	$4.58	$4.63	$4.97	$4.99	46%	21%	9%	8%	1%
HXL	$3.54	$2.57	$2.23	$2.27	$2.28	$2.29	-35%	-11%	3%	1%	1%
RTX	$6.85	$6.66	$6.83	$6.90	$6.91	$6.91	1%	4%	1%	0%	0%
SARO	n/a	$1.16	$1.36	$1.25	$1.39	$1.39	n/a	19%	2%	11%	0%
TDG	$43.48	$43.17	$39.03	$38.95	$39.84	$39.84	-8%	-8%	2%	2%	0%
TXT	$7.48	$6.88	$6.51	$6.51	$6.46	$6.46	-14%	-6%	-1%	-1%	0%
WWD	$7.40	$7.43	$8.73	$8.76	$9.41	$9.40	27%	27%	8%	7%	0%
Median							18%	15%	2%	2%	0%
Defense											
BWXT	$4.06	$3.88	$4.50	$4.62	$4.72	$4.72	16%	21%	5%	2%	0%
GD	$17.62	$16.72	$16.36	$16.27	$16.58	$16.59	-6%	-1%	1%	2%	0%
HII	$19.93	$16.14	$17.40	$17.24	$17.50	$17.47	-12%	8%	0%	1%	0%
LMT	$29.33	$29.85	$29.87	$29.91	$29.89	$29.89	2%	0%	0%	0%	0%
NOC	$29.17	$28.78	$28.02	$27.98	$27.99	$27.98	-4%	-3%	0%	0%	0%
Median							-4%	0%	0%	1%	0%
Europe A&D											
AIR.PA	€ 10.02	€ 7.86	€ 7.22	€ 7.30	€ 7.31	€ 7.31	-27%	-7%	1%	0%	0%
RR.L	£0.21	£0.28	£0.33	£0.37	£0.37	£0.37	77%	31%	11%	1%	0%
SAF	€ 9.84	€ 10.02	€ 10.27	€ 10.01	€ 10.05	€ 10.06	2%	0%	-2%	0%	0%
Median							2%	0%	1%	0%	0%
Services											
BAH	$6.75	$6.55	$6.10	$6.07	$6.08	$6.08	-10%	-7%	0%	0%	0%
CACI	$25.56	$27.53	$28.72	$28.23	$28.05	$28.20	10%	2%	-2%	0%	1%
LDOS	$8.53	$11.57	$12.34	$12.28	$12.32	$12.33	45%	7%	0%	0%	0%
Median							10%	2%	0%	0%	0%
Space											
RKLB	$0.14	-$0.10	-$0.21	-$0.22	-$0.26	-$0.26	-285%	148%	23%	14%	0%
VOYG	n/a	n/a	-$1.37	-$2.57	-$2.97	-$2.97	n/a	n/a	117%	15%	0%
YSS	n/a	n/a	-$0.05	-$0.06	-$0.62	-$0.76	n/a	n/a	1490%	1287%	22%
Median							-285%	148%	117%	15%	0%

Source: Bloomberg

Exhibit 21 - Consensus 2027 EPS Estimate Revisions Over Time

							% Increase/(Decrease) in Current Estimate Since				
	-2 Yr	-1 Yr	-3 Mo	-1 Mo	-1 Wk	5/28	-2 Yr	-1 Yr	-3 Mo	-1 Mo	-1 Wk
Aero											
ARXS	n/a	n/a	n/a	n/a	$0.70	$0.70	n/a	n/a	n/a	n/a	0%
ATI	$4.66	$4.33	$4.94	$5.12	$5.39	$5.39	16%	24%	9%	5%	0%
BA	$11.20	$6.30	$4.69	$4.37	$4.28	$4.28	-62%	-32%	-9%	-2%	0%
CRS	$7.51	$11.08	$12.10	$12.15	$12.47	$12.47	66%	13%	3%	3%	0%
GE	$6.94	$7.49	$8.49	$8.61	$8.63	$8.63	24%	15%	2%	0%	0%
HEI	$5.49	$5.70	$6.27	$6.31	$6.33	$6.42	17%	13%	2%	2%	1%
HWM	$3.89	$4.81	$5.41	$5.56	$5.95	$5.97	54%	24%	10%	7%	0%
HXL	$4.01	$3.18	$3.22	$3.17	$3.18	$3.06	-24%	-4%	-5%	-3%	-4%
RTX	$6.98	$7.38	$7.54	$7.57	$7.69	$7.69	10%	4%	2%	2%	0%
SARO	n/a	$1.53	$1.64	$1.55	$1.68	$1.68	n/a	10%	3%	8%	0%
TDG	$44.88	$49.32	$45.68	$45.28	$46.95	$46.95	5%	-5%	3%	4%	0%
TXT	$8.19	$7.62	$7.38	$7.37	$7.27	$7.27	-11%	-5%	-1%	-1%	0%
WWD	$7.67	$8.61	$10.12	$10.23	$10.58	$10.54	37%	22%	4%	3%	0%
Median							16%	11%	3%	2%	0%
Defense											
BWXT	$4.80	$4.46	$5.07	$5.19	$5.24	$5.24	9%	18%	3%	1%	0%
GD	$19.20	$18.17	$18.07	$17.96	$18.12	$18.12	-6%	0%	0%	1%	0%
HII	$21.82	$18.21	$20.51	$20.20	$20.31	$20.34	-7%	12%	-1%	1%	0%
LMT	$31.35	$31.78	$31.96	$32.08	$32.08	$32.09	2%	1%	0%	0%	0%
NOC	$31.51	$30.89	$30.02	$30.15	$30.14	$30.13	-4%	-2%	0%	0%	0%
Median							-4%	1%	0%	1%	0%
Europe A&D											
AIR.PA	€ 11.44	€ 9.20	€ 8.54	€ 8.57	€ 8.64	€ 8.64	-24%	-6%	1%	1%	0%
RR.L	£0.24	£0.33	£0.38	£0.43	£0.44	£0.44	83%	35%	16%	2%	0%
SAF	€ 10.82	€ 11.35	€ 12.28	€ 12.26	€ 12.22	€ 12.26	13%	8%	0%	0%	0%
Median							13%	8%	1%	1%	0%
Services											
BAH	$7.36	$7.16	$6.21	$6.25	$6.21	$6.28	-15%	-12%	1%	0%	1%
CACI	$28.22	$30.23	$31.77	$31.65	$31.22	$31.40	11%	4%	-1%	-1%	1%
LDOS	$3.85	$12.51	$12.95	$13.03	$13.15	$13.17	243%	5%	2%	1%	0%
Median							11%	4%	1%	0%	1%
Space											
RKLB	$0.41	$0.15	$0.08	$0.03	-$0.03	-$0.04	-109%	-125%	-148%	-216%	19%
VOYG	n/a	n/a	-$0.69	-$0.99	-$1.32	-$1.32	n/a	n/a	90%	33%	0%
YSS	n/a	n/a	$0.60	$0.57	$0.58	$0.58	n/a	n/a	-3%	2%	1%
Median							-109%	-125%	-3%	2%	1%

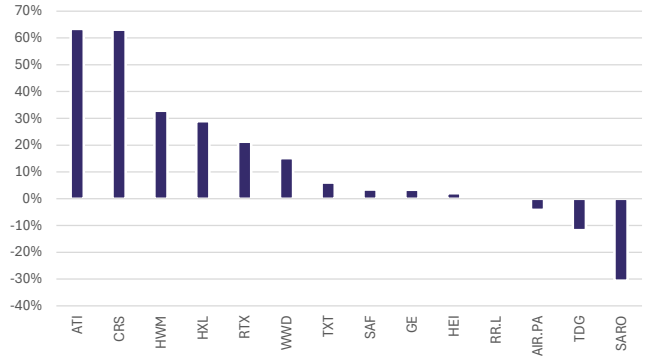
Source: Bloomberg

Exhibit 22 - Valuation vs Historical (P/E)

Company	Ticker	Current	Absolute			Current	Relative to S&P		
			3YR Avg	5YR Avg	10YR Avg		3YR Avg	5YR Avg	10YR Avg
Aero									
Airbus Group NV	AIR.PA	22.3x	23x	23x	24x	4%	8%	13%	21%
ATI Inc	ATI	37.1x	23x	24x	35x	73%	5%	15%	80%
Boeing Co	BA	520.0x	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Carpenter Technology	CRS	38.7x	24x	25x	21x	80%	10%	23%	9%
General Electric Co	GE	41.5x	40x	30x	22x	93%	86%	n/a	n/a
HEICO Corp	HEI	57.5x	56x	55x	49x	168%	161%	166%	150%
Howmet Aerospace	HWM	49.6x	37x	32x	25x	131%	73%	55%	28%
Hexcel Corp	HXL	38.7x	30x	38x	39x	80%	39%	85%	98%
Rolls-Royce PLC	RR.L	34.2x	34x	37x	51x	59%	57%	81%	159%
RTX Corp	RTX	25.8x	21x	20x	19x	20%	-1%	-1%	-3%
Safran SA	SAF	29.7x	29x	29x	28x	38%	33%	39%	41%
StandardAero Inc	SARO	19.4x	28x	28x	28x	-10%	29%	35%	42%
TransDigm Group	TDG	29.2x	33x	33x	31x	36%	53%	62%	55%
Textron	TXT	14.0x	13x	15x	16x	-35%	-39%	-29%	-21%
Woodward	WWD	35.9x	31x	30x	26x	67%	44%	44%	33%
Average		**66.2x**	**30x**	**30x**	**30x**	**58%**	**40%**	**45%**	**53%**
Defense									
BWX Technologies	BWXT	41.9x	34x	28x	25x	95%	60%	35%	27%
General Dynamics Corp	GD	20.8x	19x	18x	17x	-3%	-14%	-12%	-14%
HII Inc	HII	17.7x	17x	16x	15x	-18%	-23%	-22%	-22%
L3Harris Technologies Inc	LHX	25.6x	19x	18x	18x	19%	-10%	-11%	-8%
Lockheed Martin Corp	LMT	17.4x	18x	17x	17x	-19%	-18%	-19%	-12%
Northrop Grumman	NOC	19.7x	19x	19x	18x	-8%	-10%	-9%	-8%
Average		**24x**	**21x**	**19x**	**19x**	**11%**	**-2%**	**-6%**	**-6%**
Government Services									
Booz Allen Hamilton	BAH	12.9x	20x	20x	20x	-40%	-6%	-2%	2%
CACI International Inc	CACI	17.5x	18x	17x	17x	-19%	-18%	-19%	-14%
Leidos Inc	LDOS	10.6x	15x	15x	15x	-51%	-31%	-29%	-23%
Average		**14x**	**18x**	**17x**	**17x**	**-36%**	**-18%**	**-17%**	**-12%**

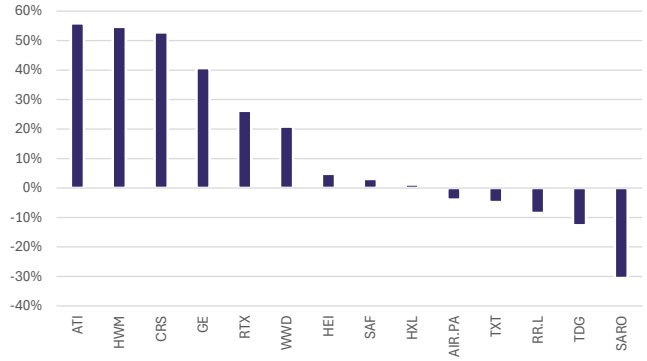
Source: Bloomberg

Exhibit 23 - Current Premium/Discount to 3-Yr Average (P/E) - Aerospace



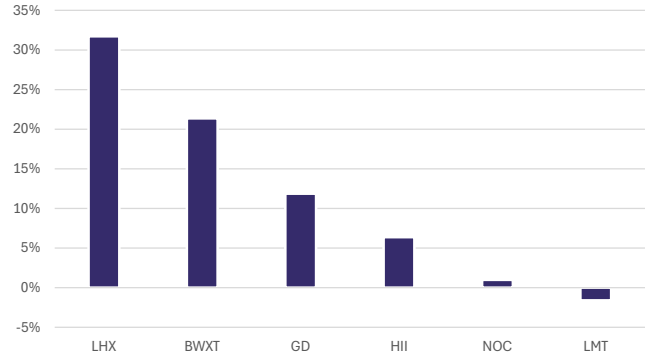
Source: Bloomberg

Exhibit 24 - Current Premium/Discount to 5-Yr Average (P/E) - Aerospace



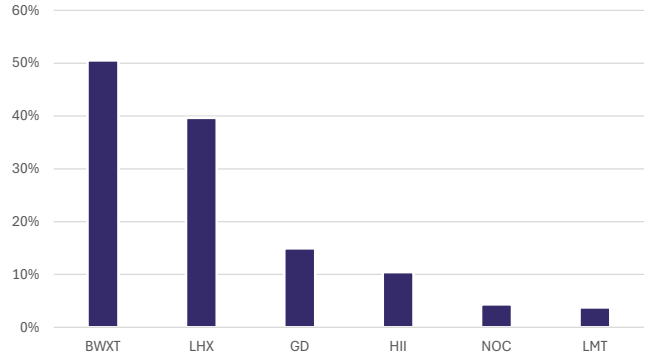
Source: Bloomberg

Exhibit 25 - Current Premium/Discount to 3-Yr Average (P/E) - Defense



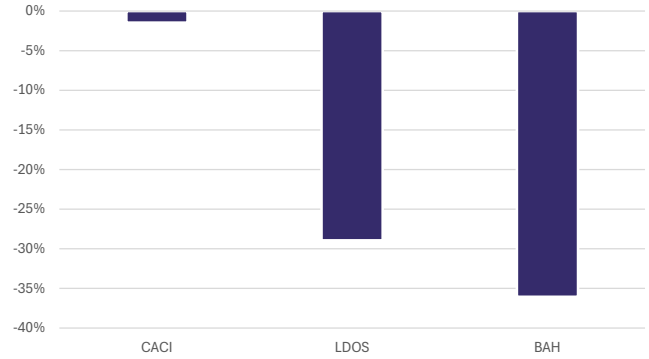
Source: Bloomberg

Exhibit 26 - Current Premium/Discount to 5-Yr Average (P/E) - Defense



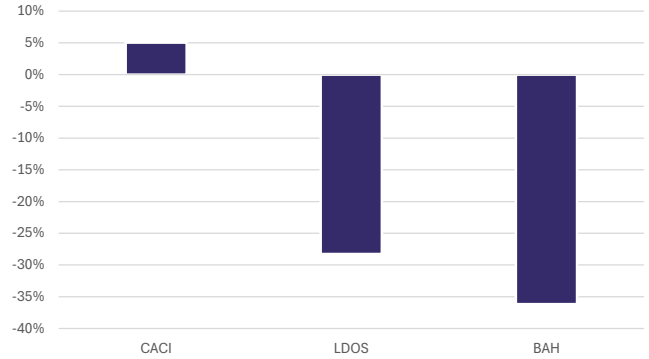
Source: Bloomberg

Exhibit 27 - Current Premium/Discount to 3-Yr Average (P/E) - Government Services



Source: Bloomberg

Exhibit 28 - Current Premium/Discount to 5-Yr Average (P/E) - Government Services



Source: Bloomberg

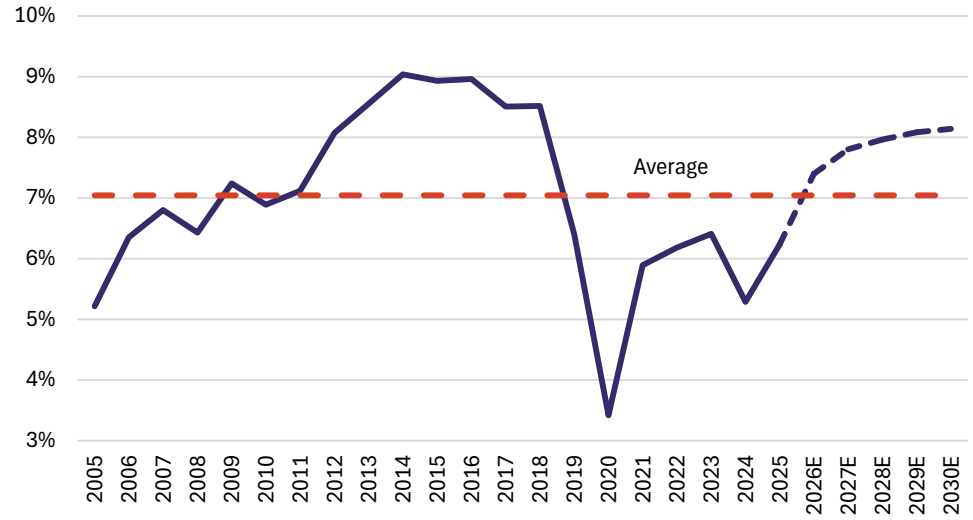
Aerospace

Exhibit 29 - Commercial Aero Delivery Forecast

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
737 NG	70	16	18	13	9	4	8	1	0	0	0	0
737 MAX	57	27	245	374	387	261	439	524	575	625	675	725
747	7	5	7	5	1	0	0	0	0	0	0	0
767	43	30	32	33	32	18	30	29	15	15	15	15
777	45	26	24	24	26	14	35	35	36	36	45	50
787	158	53	14	31	73	51	88	100	120	130	140	150
Boeing	380	157	340	480	528	348	600	689	746	806	875	940
A220	48	38	50	53	68	75	93	100	110	120	130	140
A320 Family	91	15	24	0	0	0	0	0	0	0	0	0
A320neo Family	551	431	459	516	571	602	607	660	715	750	775	800
A330	53	19	18	32	32	32	36	39	45	50	50	50
A340	0	0	0	0	0	0	0	0	0	0	0	0
A350	112	59	55	60	64	57	57	71	85	100	115	130
A380	8	4	5	0	0	0	0	0	0	0	0	0
Airbus	863	566	611	661	735	766	793	870	955	1,020	1,070	1,120
Total	**1,243**	**723**	**951**	**1,141**	**1,263**	**1,114**	**1,393**	**1,559**	**1,701**	**1,826**	**1,945**	**2,060**
YOY Growth	*-23%*	*-42%*	*32%*	*20%*	*11%*	*-12%*	*25%*	*12%*	*9%*	*7%*	*7%*	*6%*
Narrowbodies	**817**	**527**	**796**	**956**	**1,035**	**942**	**1,147**	**1,285**	**1,400**	**1,495**	**1,580**	**1,665**
YOY Growth	*-33%*	*-35%*	*51%*	*20%*	*8%*	*-9%*	*22%*	*12%*	*9%*	*7%*	*6%*	*5%*
Widebodies	**426**	**196**	**155**	**185**	**228**	**172**	**246**	**274**	**301**	**331**	**365**	**395**
YOY Growth	*12%*	*-54%*	*-21%*	*19%*	*23%*	*-25%*	*43%*	*11%*	*10%*	*10%*	*10%*	*8%*

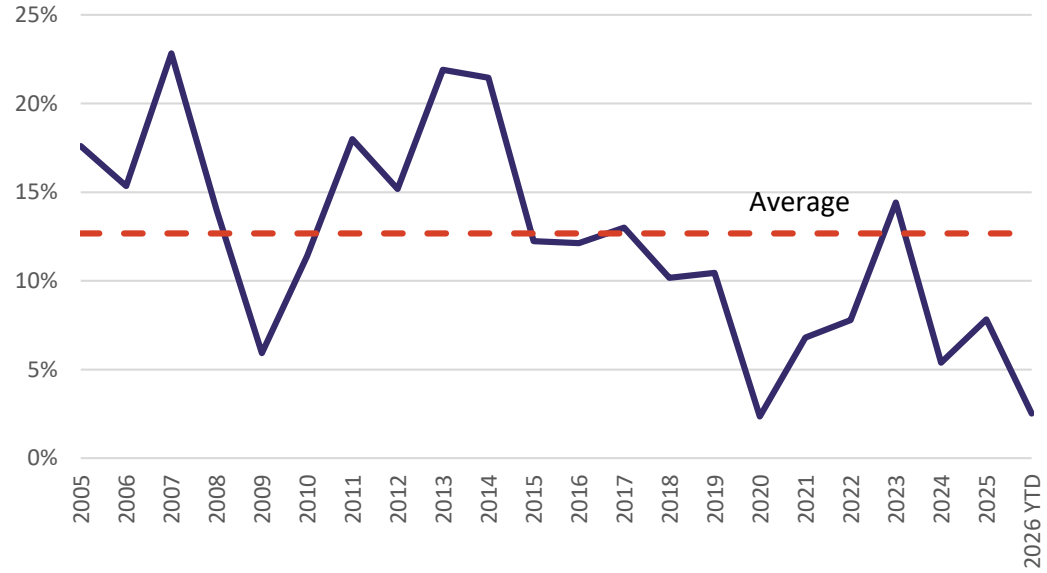
Source: Company reports and Wells Fargo Securities, LLC estimates

Exhibit 30 - Commercial Aircraft Deliveries as % of Installed Base



Source: Cirium and Wells Fargo Securities, LLC

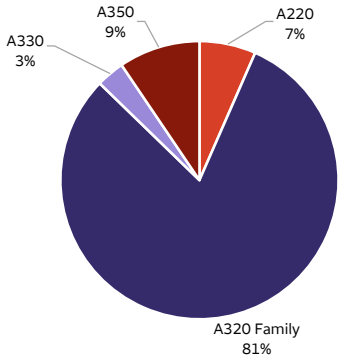
Exhibit 31 - Commercial Aircraft Orders as % of Installed Base



Source: Cirium

2026 YTD through 5/28/26

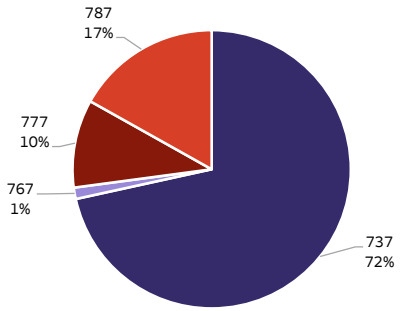
Exhibit 32 - Airbus Backlog by Aircraft (~9,200)



Source: Cirium

As of 5/28/26

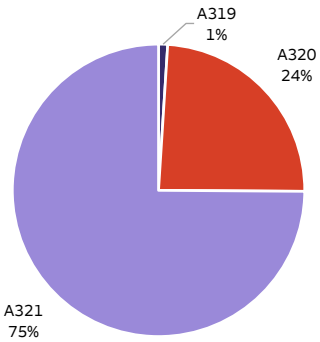
Exhibit 33 - BA Backlog by Aircraft (~6,800)



Source: Cirium

As of 5/28/26

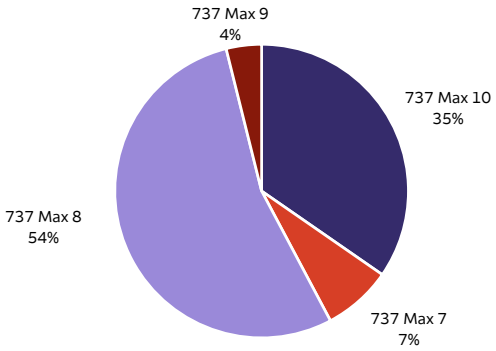
Exhibit 34 - A320 Family Backlog Breakout (~7,400)



Source: Cirium

As of 5/28/26

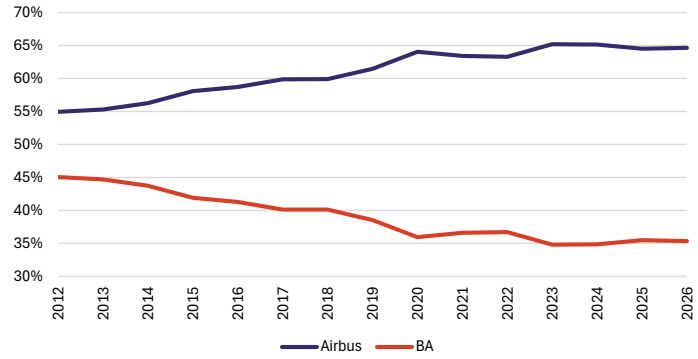
Exhibit 35 - 737 MAX Backlog Breakout (~4,800)



Source: Cirium

As of 5/28/26

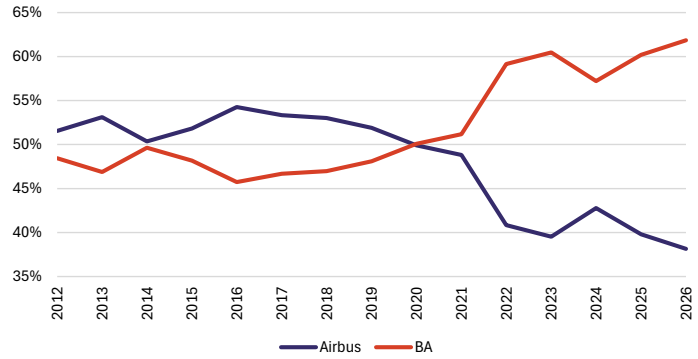
Exhibit 36 - Narrowbody Delivery Share, 2012-Present



Source: Cirium

Seats basis.

Exhibit 37 - Widebody Delivery Share, 2012-Present



Source: Cirium

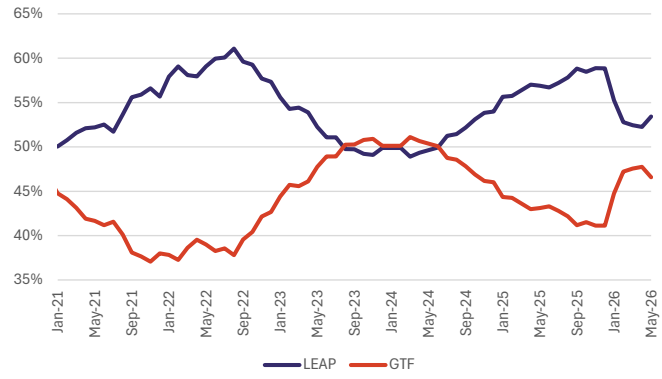
Seats basis.

Exhibit 38 - OE Growth by Company

	2020	2021	2022	2023	2024	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26
ATI	-45%	-7%	96%	38%	8%	25%	14%	15%	5%	5%
GE	-30%	-12%	4%	21%	11%	10%	35%	29%	8%	23%
Honeywell	-36%	-7%	22%	15%	9%	-7%	-12%	2%	5%	3%
Howmet	-38%	-14%	29%	24%	20%	9%	8%	15%	13%	20%
Hexcel	-50%	1%	37%	18%	12%	-6%	-9%	-7%	8%	19%
Collins Aerospace Systems	-36%	-9%	16%	18%	3%	2%	1%	16%	9%	15%
Pratt & Whitney	-28%	11%	24%	24%	34%	3%	15%	5%	28%	-1%
Safran	-42%	-5%	25%	34%	15%	9%	7%	28%	-11%	24%
Spirit	-62%	22%	30%	20%	2%	-14%	9%	n/a	n/a	n/a
TransDigm	-21%	-6%	24%	23%	13%	0%	-7%	7%	17%	12%
Woodward	-48%	31%	31%	26%	6%	-9%	-8%	0%	22%	30%
Average	-40%	0%	31%	24%	12%	2%	5%	11%	10%	15%

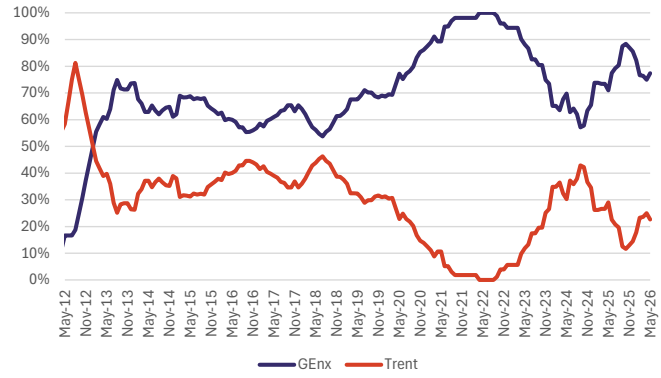
Source: Company Reports

Exhibit 39 - R12M A320 Family Engine Delivery Share (LEAP vs. GTF)



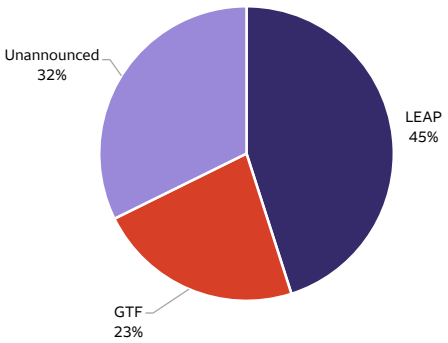
Source: Cirium

Exhibit 40 - R12M 787 Engine Delivery Share (GEnx vs. Trent)



Source: Cirium

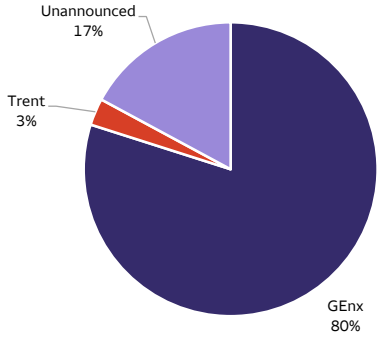
Exhibit 41 - A320 Family Backlog by Engine



Source: Cirium

As of 5/28/26

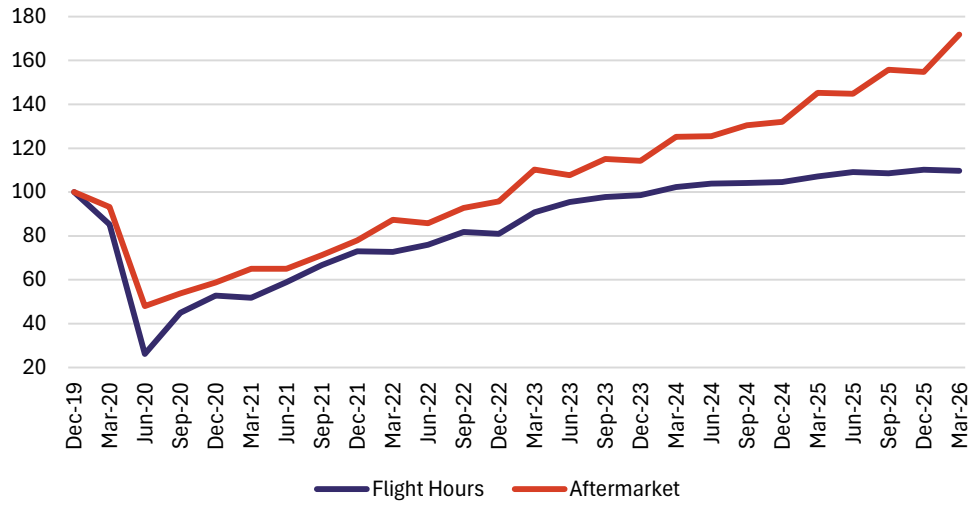
Exhibit 42 - 787 Backlog by Engine



Source: Cirium

As of 5/28/26

Exhibit 43 - Aftermarket vs Flight Hours, Indexed to 100 in 2019



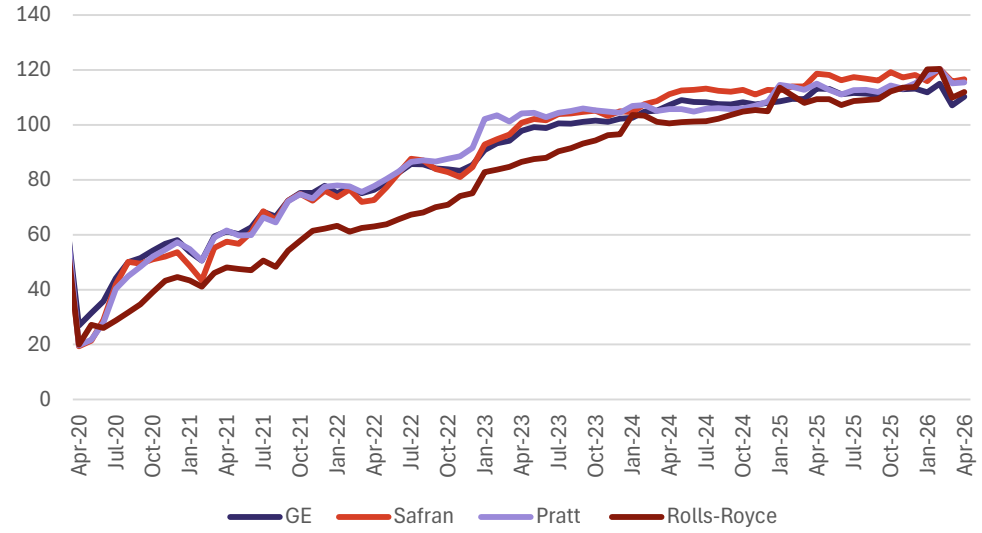
Source: Company reports

Exhibit 44 - Annual YoY Flight Hour Growth by Engine Manufacturer

	2021	2022	2023	2024	2025	Jan-26	Feb-26	Mar-26	Apr-26	2026 YTD
GE	20%	24%	21%	9%	4%	3%	5%	-2%	-3%	1%
Safran	24%	28%	26%	10%	5%	3%	6%	2%	-2%	2%
Pratt	25%	29%	25%	2%	7%	3%	6%	2%	0%	3%
Rolls-Royce	13%	32%	34%	15%	7%	6%	9%	2%	2%	5%

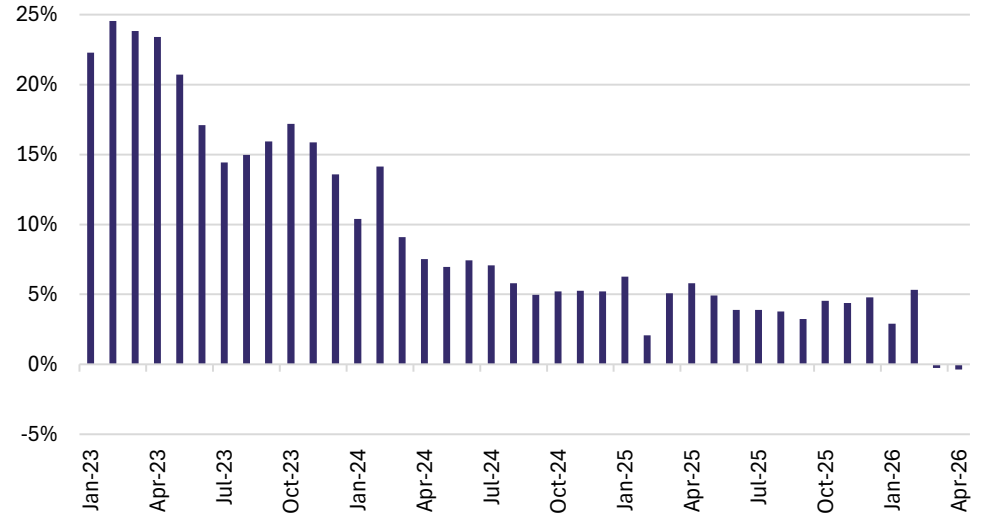
Source: Cirium and Wells Fargo Securities, LLC

Exhibit 45 - Total Flight Hours by Engine Manufacturer (Indexed to 100 in Same Month 2019)



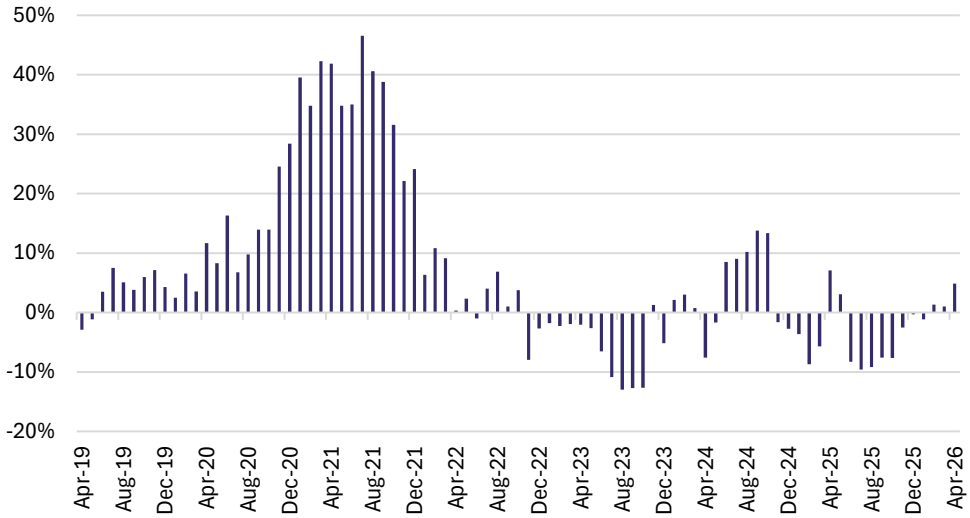
Source: Cirium and Wells Fargo Securities, LLC

Exhibit 46 - Global Passenger Fleet Flight Hours YoY % Change



Source: Diio

Exhibit 47 - Global Freighter Fleet Flight Hours YoY % Change, 2019-Present



Source: Cirium

Exhibit 48 - Flight Schedule YoY Growth by Region

	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26	Oct-26
Asia	0%	5%	5%	0%	-3%	1%	0%	1%	6%	2%
Europe	3%	2%	3%	1%	2%	2%	4%	3%	3%	3%
Middle East	11%	8%	-17%	-43%	-28%	-15%	-3%	-5%	0%	0%
North America	1%	1%	1%	2%	1%	0%	0%	1%	2%	5%
Latin America	4%	4%	8%	5%	4%	4%	7%	9%	10%	9%
Total Global	**1.7%**	**3.4%**	**2.9%**	**-0.6%**	**-1.1%**	**0.3%**	**1.3%**	**2.2%**	**3.9%**	**3.3%**

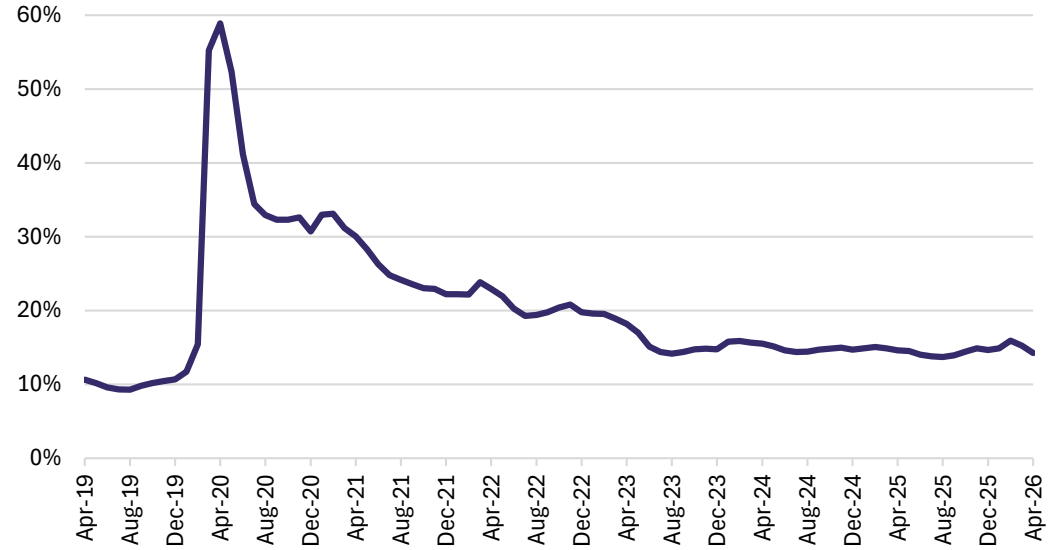
Source: Cirium

Exhibit 49 - Aftermarket Growth by Company

	2020	2021	2022	2023	2024	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26
Boeing	-32%	9%	27%	15%	6%	-1%	3%	7%	0%	2%
GE	-46%	23%	45%	30%	12%	17%	29%	28%	31%	39%
HEICO	-34%	20%	24%	18%	13%	14%	13%	16%	12%	19%
Honeywell	-33%	9%	23%	22%	15%	15%	7%	19%	-3%	3%
MTU Aero Engines	-30%	14%	17%	17%	13%	15%	8%	13%	14%	8%
Pratt & Whitney	-33%	23%	24%	20%	14%	28%	19%	23%	21%	19%
Collins Aerospace Systems	-36%	17%	28%	27%	12%	13%	13%	13%	13%	7%
Safran	-43%	7%	29%	33%	25%	21%	22%	21%	21%	32%
Transdigm	-38%	21%	39%	30%	9%	13%	6%	11%	7%	14%
Rolls Royce	-43%	6%	26%	25%	27%	19%	19%	23%	23%	
Woodward	-34%	-4%	41%	21%	17%	23%	30%	39%	50%	36%
Average	-37%	13%	29%	23%	15%	16%	15%	19%	17%	18%

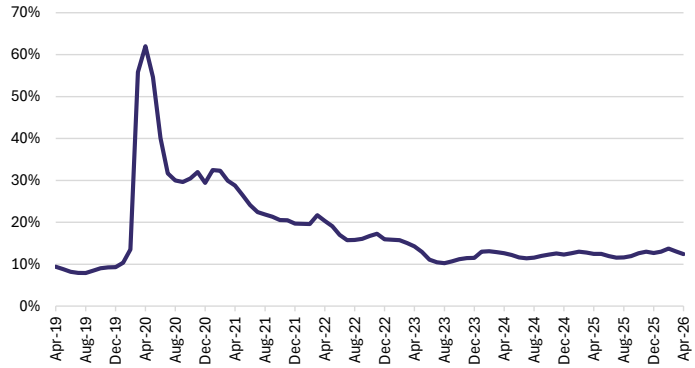
Source: Company Reports

Exhibit 50 - Parked Fleet as Percentage of Installed Base, 2019-Present



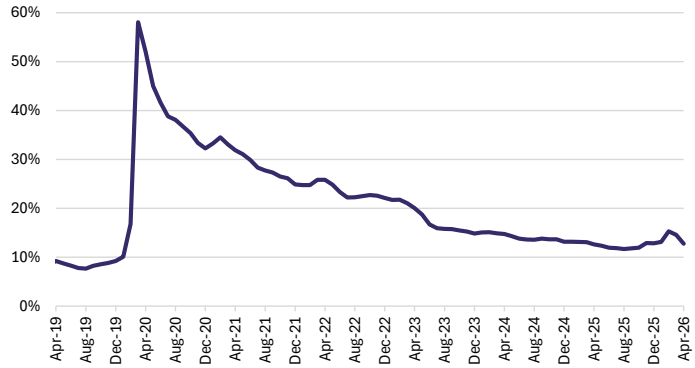
Source: Cirium

Exhibit 51 - NB Parked Fleet as Percentage of Installed Base, 2019-Present



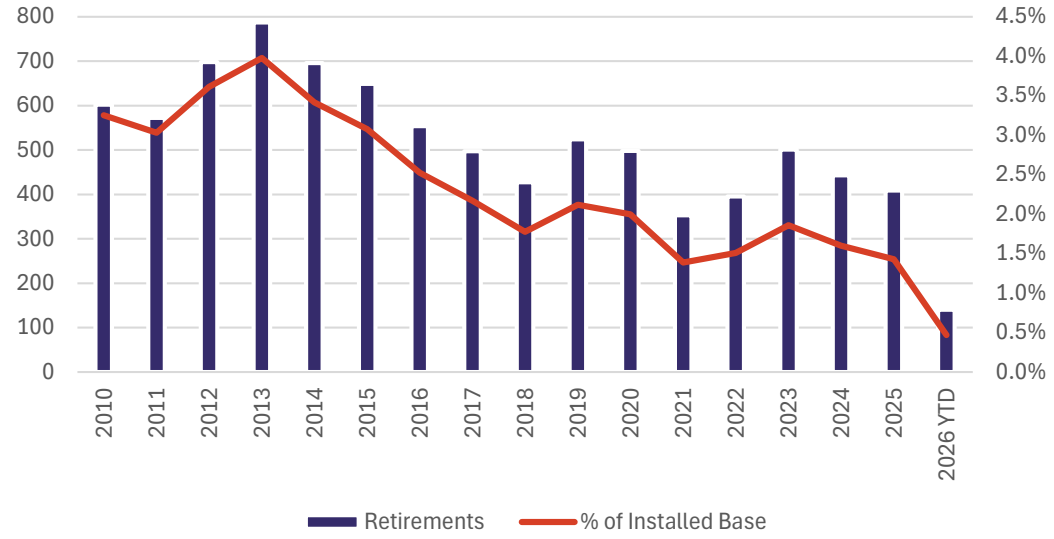
Source: Cirium

Exhibit 52 - WB Parked Fleet as Percentage of Installed Base, 2019-Present



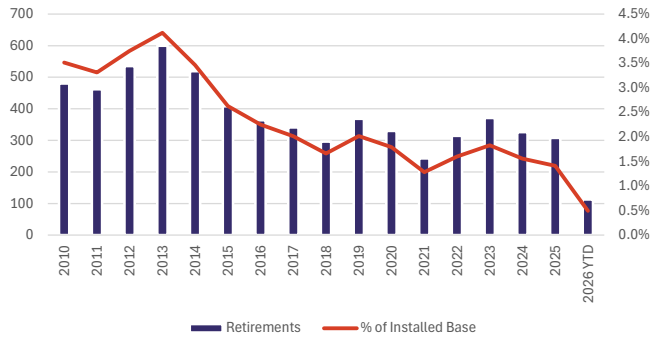
Source: Cirium

Exhibit 53 - Aircraft Retirements Over Time



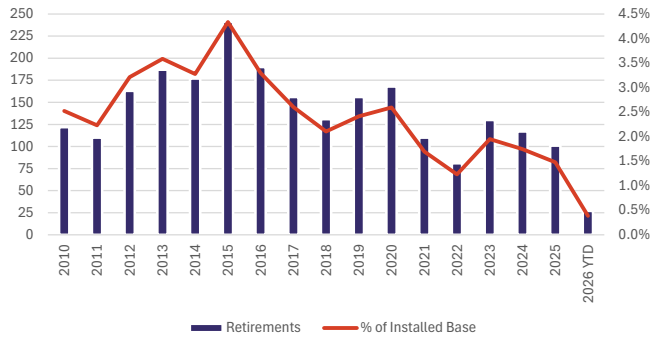
Source: Cirium

Exhibit 54 - NB Aircraft Retirements Over Time



Source: Cirium

Exhibit 55 - WB Aircraft Retirements Over Time



Source: Cirium

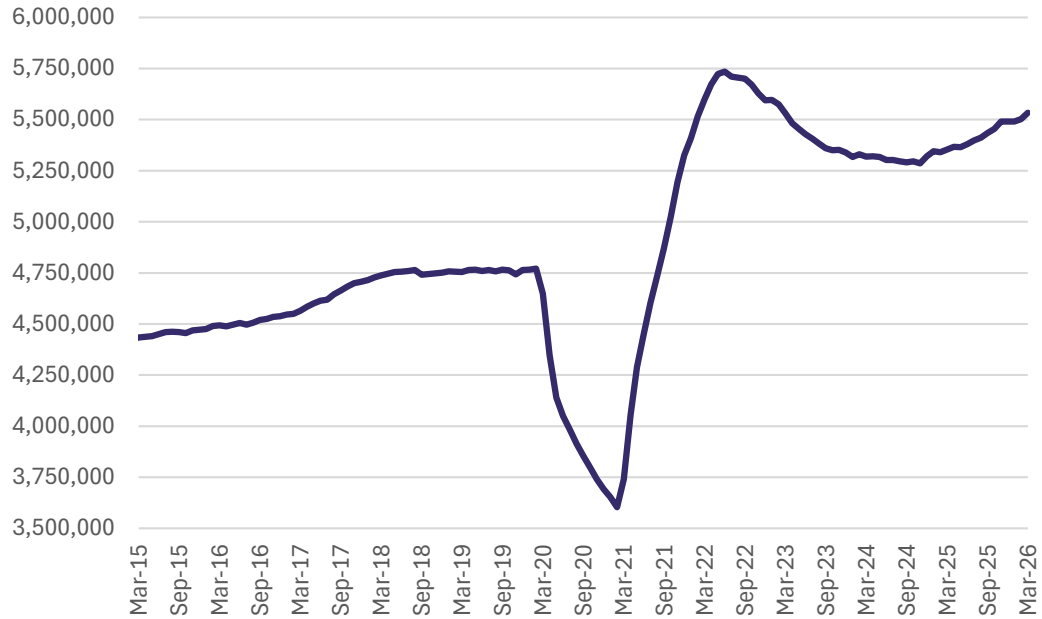
Business Jets

Exhibit 56 - Business Jet Delivery Forecast

	Cabin Class	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Bombardier													
Learjet 70/75	Midsize	12	11	10	3	0	0	0	0	0	0	0	0
Challenger 300/350	Midsize	56	32	35	39	52	59	64	60	60	60	60	60
Challenger 605/650	Midsize	20	12	9	11	11	13	13	10	10	10	10	10
Global 5000/6000	Large	43	24	27	23	22	34	37	40	40	40	40	40
Global 7500/8000	Large	11	35	39	47	53	40	41	45	45	45	45	45
Bombardier Total		142	114	120	123	138	146	155	155	155	155	155	155
Dassault													
Falcon 2000	Midsize	18	12	14	13	10	13	11	12	12	12	12	12
Falcon 900	Large	4	5	3	2	5	2	2	2	2	2	2	2
Falcon 6X	Large	0	0	0	0	0	6	13	18	18	18	18	18
Falcon 7X	Large	5	5	3	4	3	0	0	0	0	0	0	0
Falcon 8X	Large	13	12	10	13	8	10	11	8	8	8	8	8
Dassault Total		40	34	30	32	26	31	37	40	40	40	40	40
Gulfstream													
G200/G280	Midsize	33	22	16	24	22	18	22	22	20	20	20	20
G300/G350	Large	0	0	0	0	0	0	0	0	0	0	0	0
GIV/G400/G450	Large	0	0	0	0	0	0	0	0	0	0	0	0
G500 (Classis)	Large	0	0	0	0	0	0	0	0	0	0	0	0
G500 (Classis)	Large	29	26	29	26	22	25	27	29	25	25	25	25
GV/G550	Large	17	19	8	0	0	0	0	0	0	0	0	0
G600	Large	9	27	29	30	34	32	28	30	30	30	30	30
G650/G700/800	Large	59	33	37	40	33	61	81	82	90	90	90	90
Gulfstream Total		147	127	119	120	111	136	158	163	165	165	165	165
Cessna													
M2	Small	34	24	34	33	25	22	22	22	24	31	32	32
CJ3	Small	37	21	26	29	30	24	31	30	32	32	32	32
CJ4	Small	33	23	27	29	31	26	30	31	32	32	32	32
XLS	Midsize	22	13	19	19	17	15	13	0	0	0	0	0
Latitude	Midsize	58	26	34	42	41	40	47	48	50	50	50	50
Sovereign	Midsize	8	6	3	0	0	1	0	0	0	0	0	0
Longitude	Midsize	13	18	24	26	24	24	25	32	30	30	30	32
Hemisphere	Midsize	0	0	0	0	0	0	0	0	0	0	0	0
X	Midsize	1	1	0	0	0	0	0	0	0	0	0	0
Citation Ascend	Midsize	0	0	0	0	0	0	3	27	37	40	44	47
Cessna Total		206	132	167	178	168	152	171	190	205	215	220	225
Embraer													
Phenom 100	VLJ	11	6	6	7	11	10	14	15	15	15	15	15
Phenom 300	Small	51	50	56	59	63	65	72	75	75	75	75	75
Legacy 450	Midsize	15	0	0	0	0	0	0	0	0	0	0	0
Praetor 500	Midsize	3	10	14	15	20	28	39	40	40	40	40	40
Legacy 500	Midsize	11	1	0	0	0	0	0	0	0	0	0	0
Praetor 600	Midsize	13	18	17	21	21	27	30	35	35	35	35	35
Legacy 600/650	Large	5	1	0	0	0	0	0	0	0	0	0	0
Lineage 1000	Large	0	0	0	0	0	0	0	0	0	0	0	0
Embraer Total		109	86	93	102	115	130	155	165	165	165	165	165
Other - Pilatus PC-24	Small	50	41	47	39	48	48	48	48	48	48	48	48
Other - Hondajet HA-420	VLJ	36	31	35	17	22	22	22	22	22	22	22	22
VLJ		47	37	41	24	33	32	36	37	37	37	37	37
Small		205	159	190	189	197	185	203	206	211	218	219	219
Midsize		283	182	195	213	218	238	267	286	294	297	301	306
Large		195	187	185	185	180	210	240	254	258	258	258	258
Total ex VLJ		683	528	570	587	595	633	710	746	763	773	778	783
Growth (YoY)		*13%*	*-23%*	*8%*	*3%*	*1%*	*6%*	*12%*	*5%*	*2%*	*1%*	*1%*	*1%*

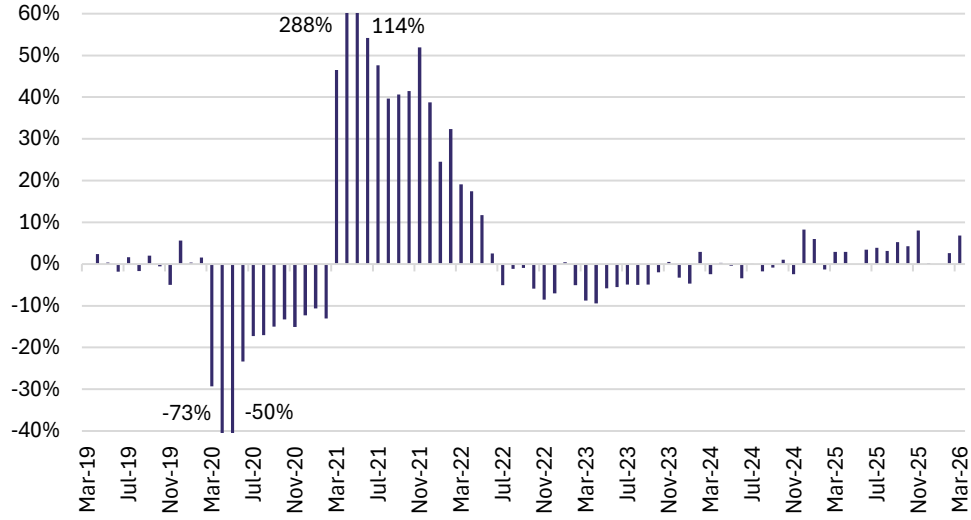
Source: Company Reports and Wells Fargo Securities, LLC estimates

Exhibit 57 - R12M Business Jet Cycles, 2015-Present



Source: FAA

Exhibit 58 - Business Jet Cycles Activity YoY % Change, 2019-Present



Source: FAA

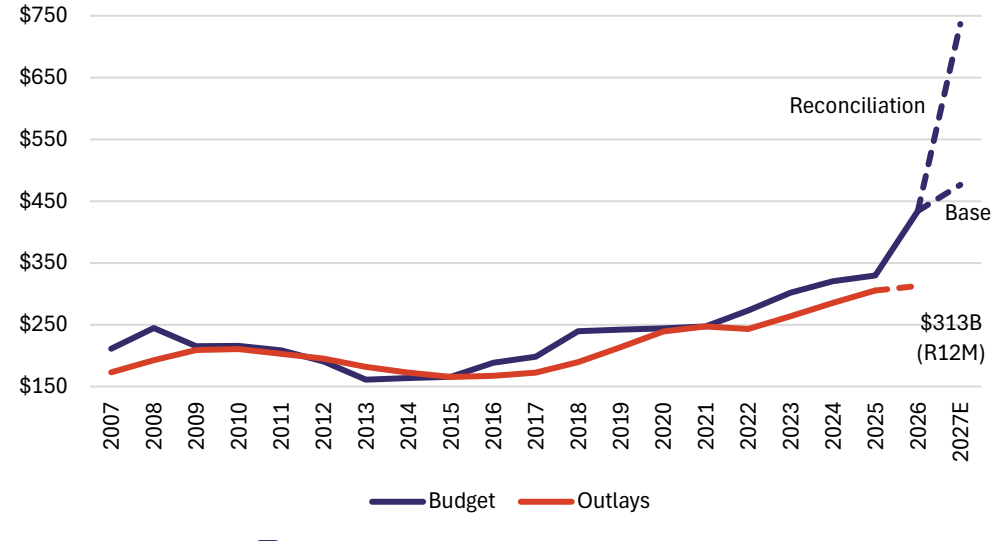
Defense

Exhibit 59 - Modernization Budget by Appropriations Account, FY25-27 Request ($B)

	FY25	FY26 Base Request	FY26 Reconciliation	FY26 Total Including Reconciliation	FY27 Base Request	FY27 Reconciliation	FY27 Request Including Reconciliation	Growth FY27 Base Request vs FY26 Base	Growth FY27 vs FY26 Total Including Reconciliation	Companies Most Exposed
Aircraft, Army	3.5	3.6	0.4	4.1	1.9	0.0	1.9	-47%	-52%	BA, LMT
Missiles, Army	7.5	7.3	0.7	8.0	12.1	24.5	36.6	66%	360%	LMT, RTX
Weapons & Combat Vehicles, Army	5.9	3.0	0.5	3.5	3.7	0.0	3.7	24%	7%	BAE, GD
Ammunition, Army	4.5	4.6	0.4	4.9	5.5	0.0	5.5	20%	11%	
Other Procurement, Army	10.1	9.4	0.6	10.1	12.7	0.0	12.7	35%	26%	LHX
Chem Agents & Munitions Destruction	0.8	0.2	0.0	0.2	0.1	0.0	0.1	-74%	-74%	
Procurement, Army	**32.3**	**28.1**	**2.6**	**30.7**	**36.0**	**24.5**	**60.5**	**28%**	**97%**	
Aircraft, Navy	15.9	17.2	0.5	17.7	26.9	7.5	34.4	56%	94%	BA, LMT
Weapons, Navy	7.1	6.1	4.1	10.2	11.8	10.9	22.6	93%	123%	LMT, RTX
Ammunition, Navy & Marine Corps	1.9	1.1	0.2	1.3	2.0	0.0	2.0	78%	46%	
Shipbuilding and Conversion, Navy	39.0	27.2	22.5	49.6	60.2	5.6	65.8	122%	33%	BWXT, GD, HII
Other Procurement, Navy	15.8	14.7	5.8	20.5	18.9	0.1	18.9	28%	-8%	
Procurement, Marine Corps	3.8	3.7	0.3	4.0	6.3	0.0	6.3	71%	58%	
Procurement, Navy	**83.5**	**70.0**	**33.4**	**103.4**	**126.0**	**24.0**	**150.0**	**80%**	**45%**	
Aircraft, Air Force	19.8	20.0	10.2	30.1	27.0	3.7	30.6	35%	2%	BA, LMT
Missiles, Air Force	5.3	4.0	2.3	6.3	6.8	4.6	11.4	72%	80%	LMT, RTX
Ammunition, Air Force	1.0	0.8	0.1	0.9	0.9	0.0	0.9	18%	5%	BA
Other Procurement, Air Force	31.0	32.6	0.4	33.1	39.2	0.0	39.2	20%	19%	
Procurement, Air Force	**57.2**	**57.3**	**13.1**	**70.4**	**73.9**	**8.2**	**82.1**	**29%**	**17%**	
Procurement, Space Force	**4.0**	**4.0**	**0.3**	**4.3**	**9.6**	**9.4**	**19.1**	**139%**	**344%**	BA, LMT, NOC
Procurement, Defense-Wide	9.6	8.9	6.2	15.1	12.0	89.3	101.4	36%	571%	BA, LMT, NOC, RTX
Total Procurement	**186.5**	**168.3**	**55.6**	**223.8**	**257.6**	**155.5**	**413.1**	**53%**	**85%**	
Army RDT&E	14.5	16.6	1.8	18.3	18.7	0.0	18.7	13%	2%	
Navy RDT&E	26.1	27.9	6.7	34.7	32.4	3.8	36.2	16%	4%	
Air Force RDT&E	47.0	50.3	6.7	57.0	73.1	1.1	74.2	45%	30%	
Space Force RDT&E	18.5	14.8	5.5	20.3	38.4	2.3	40.7	160%	100%	
Other RDT&E	37.2	35.3	44.7	80.0	56.2	117.6	173.9	59%	117%	
Total RDT&E	**143.3**	**144.9**	**65.5**	**210.4**	**218.8**	**124.9**	**343.7**	**51%**	**63%**	
Army Modernization	46.8	44.7	4.4	49.1	54.7	24.5	79.2	22%	61%	
Navy Modernization	109.6	97.9	40.1	138.0	158.4	27.9	186.3	62%	35%	
Air Force Modernization	104.2	107.6	19.8	127.4	147.0	9.3	156.3	37%	23%	
Space Force Modernization	22.4	18.8	5.8	24.6	48.0	11.7	59.7	155%	143%	
Other Modernization	46.8	44.2	50.9	95.2	68.3	207.0	275.3	54%	189%	
Total Modernization	**329.9**	**313.2**	**121.0**	**434.2**	**476.4**	**280.4**	**756.8**	**52%**	**74%**	

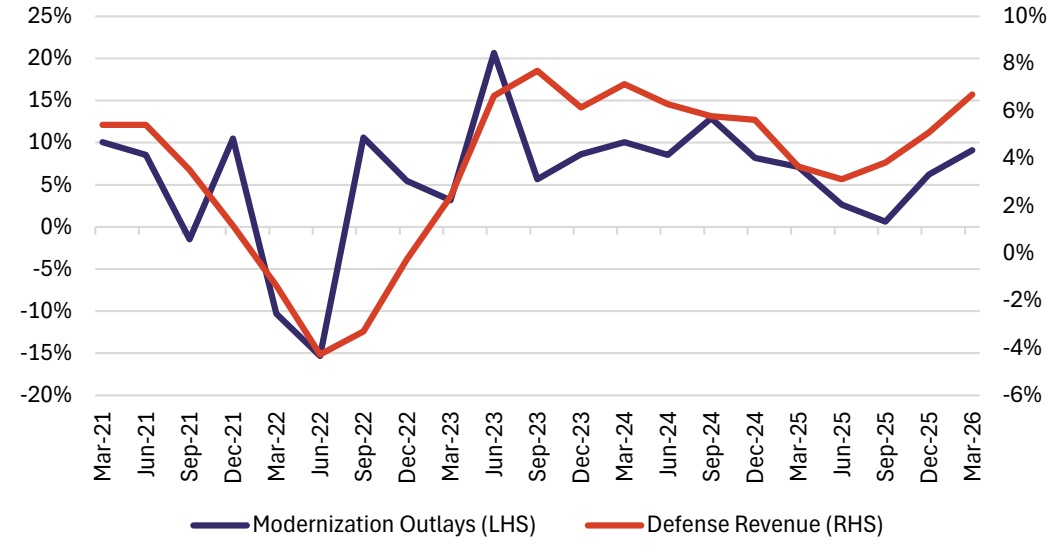
Source: OMB

Exhibit 60 - DoD Modernization Budget vs. Outlays ($B)



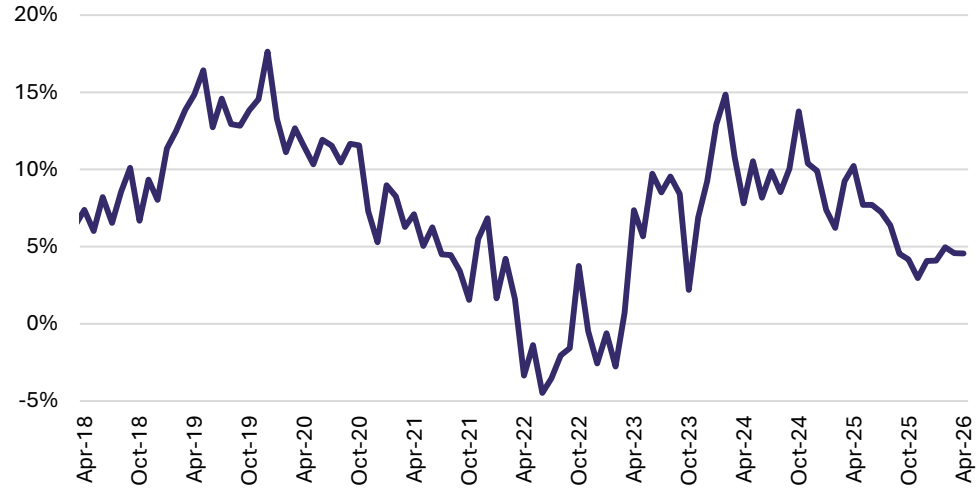
Source: DoD

Exhibit 61 - Quarterly Modernization Outlays vs. Defense Organic Revenue Growth



Source: Company reports and US Treasury

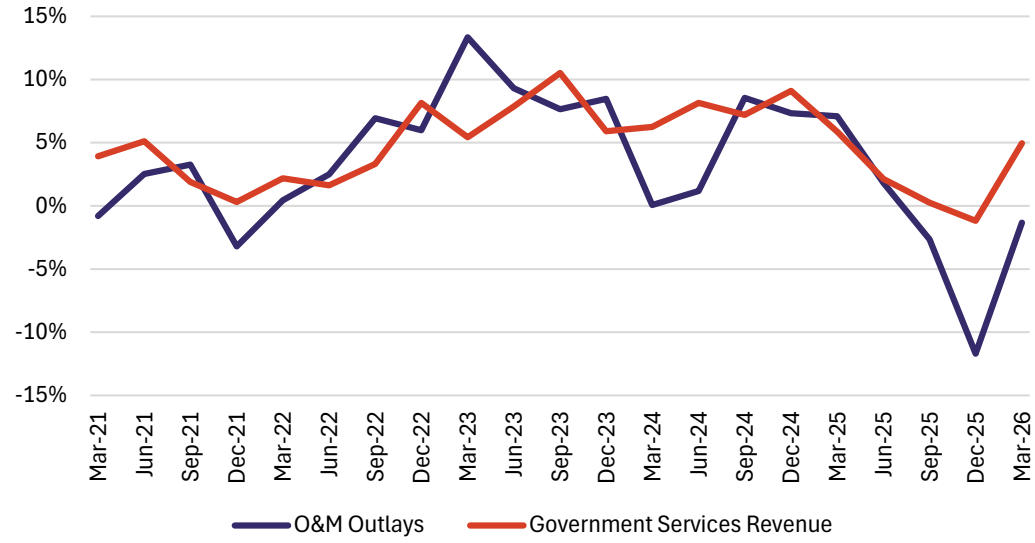
Exhibit 62 - R12M Modernization Outlays Growth



Source: US Treasury

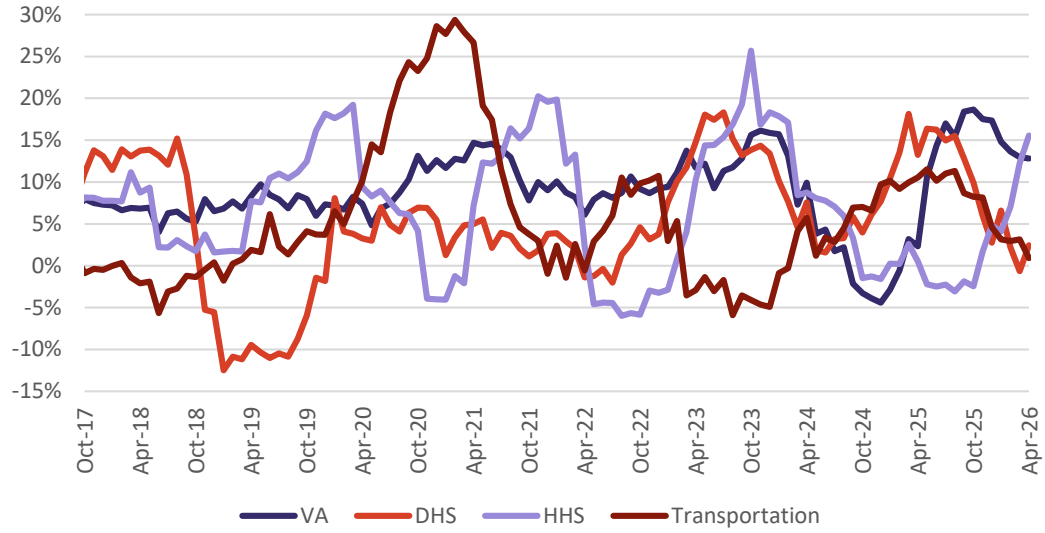
Government Services

Exhibit 63 - Quarterly O&M Outlays vs. Government Services Organic Revenue Growth



Source: Company reports and US Treasury

Exhibit 64 - R12M Civil Outlays Growth



Source: US Treasury

Space

Exhibit 65 - Monthly Launch Table

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Blue Origin	0	0	1	2	3	1	6	4	1	4	11	1	0	0	1	0
FLY	0	0	0	0	0	0	1	1	2	1	1	0	0	1	0	0
RKLB	0	0	1	3	6	7	6	9	10	16	21	2	1	3	2	1
SpaceX	7	8	18	21	13	25	31	61	96	132	161	12	12	15	11	10
ULA	12	12	8	8	5	6	5	8	3	3	5	0	0	0	2	0
Total	**19**	**20**	**28**	**34**	**27**	**39**	**49**	**83**	**112**	**156**	**199**	**15**	**13**	**19**	**16**	**11**

Source: FAA and Company Reports

Financials (Model Changes)

Exhibit 66 - ARXS Income Statement ($M except per share amounts)

	2024 Fiscal Year	2025 Fiscal Year	1Q Mar-26	2QE Jun-26	3QE Sep-26	4QE Dec-26	2026E Fiscal Year	1QE Mar-27	2QE Jun-27	3QE Sep-27	4QE Dec-27	2027E Fiscal Year	2028E Fiscal Year
Revenue	1,470	1,613	459	474	483	477	1,893	501	517	527	521	2,066	2,255
% YoY Growth		*10%*	*21%*	*15%*	*15%*	*19%*	*17%*	*9%*	*9%*	*9%*	*9%*	*9%*	*9%*
Cost of revenue	856	851	224										
Selling, general and administrative	226	265	88										
Stock-based compensation	3	25	0										
Convertible common stock compensation expen	0	0	0										
TRA compensation expense	0	0	0										
Depreciation & amortization	166	151	36										
Acquisition, integration, severance and business	114	40	0										
Operating income	106	280	111	(11)	115	114	328	116	123	127	127	494	593
% Margin	7.2%	17.4%	24.1%	-2.4%	23.7%	23.9%	17.3%	23.3%	23.8%	24.2%	24.4%	23.9%	26.3%
Interest expense, net	(285)	(221)	(44)	(38)	(26)	(26)	(134)	(25)	(25)	(25)	(25)	(101)	(101)
Other	5	5	2				2					0	0
Pre-tax income	(174)	65	69	(50)	89	88	197	91	98	102	102	393	491
Tax rate	2.6%	23.7%	22.8%	25.0%	25.0%	25.0%	24.2%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%
Provision for income tax	(5)	15	16	(12)	22	22	48	23	24	26	25	98	123
Net earnings	(169)	50	53	(37)	67	66	149	68	73	77	76	295	368
Adjustments			10	107	16	16	148	19	19	19	19	75	75
Adjusted net income			63	69	83	82	297	87	92	95	95	370	443
Common shares outstanding			410.4	410.4	410.4	410.4	410.4	414.3	414.3	414.3	414.3	414.3	418.0
Fully diluted shares outstanding			421.5	421.5	421.5	421.5	421.5	422.5	422.5	422.5	422.5	422.5	423.5
Adj EPS (basic)			$0.15	$0.17	$0.20	$0.20	$ 0.72	$0.21	$0.22	$0.23	$0.23	$ 0.89	$ 1.06
Adj EPS (diluted)			**$0.15**	**$0.16**	**$0.20**	**$0.19**	**$ 0.70**	**$0.21**	**$0.22**	**$0.23**	**$0.23**	**$ 0.87**	**$ 1.05**
GAAP EPS (basic)				($0.09)	$0.16	$0.16		$0.16	$0.18	$0.18	$0.18	$ 0.71	$ 0.88
GAAP EPS (diluted)				($0.09)	$0.16	$0.16		$0.16	$0.17	$0.18	$0.18	$ 0.70	$ 0.87

Source: Company Reports and Wells Fargo Securities, LLC estimates

Exhibit 67 - HEI Income Statement ($M except per share amounts)

	2023 Fiscal Year	2024 Fiscal Year	2025 Fiscal Year	1Q Jan-26	2Q Apr-26	3QE Jul-26	4QE Oct-26	2026E Fiscal Year	1QE Jan-27	2QE Apr-27	3QE Jul-27	4QE Oct-27	2027E Fiscal Year	2028E Fiscal Year
Revenue	2,968	3,858	4,485	1,179	1,376	1,411	1,478	5,444	1,410	1,565	1,544	1,618	6,137	6,695
% YoY Growth		*30%*	*16%*	*14%*	*25%*	*23%*	*22%*	*21%*	*20%*	*14%*	*9%*	*9%*	*13%*	*9%*
Cost of revenue	1,815	2,356	2,699	724	806			1,530					0	0
Selling, general and administrative expense	528	677	767	195	219			414					0	0
Operating income	625	824	1,019	260	350	339	365	1,314	340	389	385	411	1,524	1,694
% Margin	21.1%	21.4%	22.7%	22.1%	25.5%	24.0%	24.7%	24.1%	24.1%	24.8%	24.9%	25.4%	24.8%	25.3%
Interest expense, net	(73)	(149)	(130)	(29)	(34)	(34)	(34)	(132)	(34)	(32)	(30)	(29)	(125)	(98)
Other	3	2	4	1	1			2					0	0
Pre-tax income	555	678	894	231	318	305	330	1,184	306	357	355	382	1,399	1,596
Tax rate	20.0%	17.5%	16.6%	11.5%	21.2%	20.0%	20.0%	18.7%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%
Provision for income tax	111	119	148	27	67	61	66	221	61	71	71	76	280	319
Net earnings	444	559	746	205	250	244	264	963	245	285	284	306	1,119	1,277
Other income	41	45	55	15	17	14	15	60	15	17	15	16	63	66
Net income, adjusted	404	514	690	190	234	230	249	903	229	268	269	290	1,056	1,210
Net income, recurring	404	514	690	190	234	230	249	903	229	268	269	290	1,056	1,210
Common shares outstanding	137.2	138.5	139.0	139.4	139.6	139.7	139.9	139.6	140.0	140.2	140.3	140.5	140.2	140.8
Diluted shares outstanding	138.9	140.2	140.8	141.0	141.1	141.2	141.4	141.2	141.5	141.7	141.8	142.0	141.7	142.3
GAAP EPS (basic)	$2.94	$3.71	$4.96	$1.36	$1.68	$1.65	$1.78	$6.47	$1.64	$1.91	$1.92	$2.06	$7.53	$8.59
GAAP EPS (diluted)	$2.91	$3.67	$4.90	$1.35	$1.66	$1.63	$1.76	$6.40	$1.62	$1.89	$1.90	$2.04	$7.45	$8.50
Adj EPS (basic)	$2.94	$3.71	$4.96	$1.36	$1.68	$1.65	$1.78	$6.47	$1.64	$1.91	$1.92	$2.06	$7.53	$8.59
Adj EPS (diluted)	**$2.91**	**$3.67**	**$4.90**	**$1.35**	**$1.66**	**$1.63**	**$1.76**	**$6.40**	**$1.62**	**$1.89**	**$1.90**	**$2.04**	**$7.45**	**$8.50**
Dividend per share	$0.20	$0.21	$0.23	$0.11	$0.00	$0.12	$0.00	$0.23	$0.11	$0.00	$0.12	$0.00	$0.23	$0.23

Source: Company Reports and Wells Fargo Securities, LLC estimates

Companies Mentioned in Report

Company Name	Ticker	Last Price (05/29/26)
Airbus SE	AIR-FR	€179.70
Arxis, Inc.	ARXS	$44.93
ATI Inc.	ATI	$175.16
Booz Allen Hamilton Holding Corporation	BAH	$79.18
BWX Technologies, Inc.	BWXT	$195.88
CACI International Inc	CACI	$513.51
Carpenter Technology Corporation	CRS	$468.98
GE Aerospace	GE	$323.76
General Dynamics Corporation	GD	$346.82
HEICO Corporation	HEI	$348.18
Hexcel Corporation	HXL	$89.79
Howmet Aerospace Inc.	HWM	$258.25
Huntington Ingalls Industries, Inc.	HII	$308.17
Leidos Holdings, Inc.	LDOS	$127.80
Lockheed Martin Corporation	LMT	$530.45
Northrop Grumman Corporation	NOC	$563.68
Rocket Lab Corporation	RKLB	$143.48
Rolls-Royce Holdings plc	RR-GB	£13.37
RTX Corporation	RTX	$179.66
Safran SA	SAF-FR	€305.70
StandardAero Inc.	SARO	$28.64
Textron Inc.	TXT	$91.76
The Boeing Company	BA	$231.15
TransDigm Group Incorporated	TDG	$1,258.32
Voyager Technologies Inc.	VOYG	$49.53
Woodward, Inc.	WWD	$350.03
York Space Systems Inc.	YSS	$32.64

Source: Wells Fargo Securities LLC Estimates, FactSet

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